# The Indian Stock Market KPI Handbook

Industry-wise Operational KPIs, Their Meaning, and Where to Source Them

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# The Indian Stock Market KPI Handbook

## Industry-wise Operational KPIs, Their Meaning, and Where to Source Them

**A one-stop reference for stock market participants — investors, traders, analysts and advisors.**

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## How This Book Is Organised

- **Part I — Foundations** (Chapters 1–2): how to use the book, and the directory of where to source Indian market data.
- **Part II — Industry Chapters** (Chapters 3–31): 29 industry chapters, each with the business in brief, the KPIs that matter, and a healthy-profile-vs-red-flags checklist. **Chapter 32** is a one-page primer on reading any operational KPI.
- **Part III — Quick Reference** (appendix): a master table of the top KPIs per industry, and a glossary.

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# 1. How to Use This Book

Every industry is read through its own set of numbers. The metrics that tell you whether a cement maker is efficient — realisation per tonne, freight cost per tonne, clinker factor — tell you almost nothing about a bank or an airline. These industry-specific numbers are called **operational KPIs**: they come from a company's **quarterly presentations, investor decks and the Management Discussion & Analysis (MD&A)** section of the annual report, not from the standard profit-and-loss statement.

A financial ratio (ROE, EBITDA margin, P/E) is *generic* — it applies to any company. An operational KPI is *specific* — it describes how well a company runs its particular business. The best investors track both, but the operational KPIs are what let you compare two companies *within the same industry* and spot which one is genuinely running better.

This book is organised as a **KPI-first reference**:

- **Part I** explains how to use it and gives you the full directory of where to source data in the Indian ecosystem.
- **Part II** is the core — 29 industry chapters (Chapters 3–31), closed by a one-page primer on how to read any KPI (Chapter 32). Each industry chapter covers: 1. **Industry at a glance** — the business model and the two or three drivers that move every company in it. 2. **The KPIs** — each with a definition, why it matters, how to read it (good/bad/benchmark), and where to source it. 3. **Healthy profile vs red flags** — a checklist to use before you open any screener.
- **Part III** is a quick-reference: a master table of the top KPIs per industry, plus a glossary.

## How to use each chapter

1. Read *Industry at a glance* first — it tells you the value chain and cost centres, which is where the KPIs come from.
2. Study the KPIs — these are the numbers that **actually discriminate** between good and bad companies *in that industry*.
3. Use the *healthy profile / red flags* box as a checklist.
4. Follow the source links to pull the exact number yourself.

## A word on benchmarks

The ranges in this book are **indicative**, drawn from typical Indian large/mid-cap experience. They are starting points, not laws. A steelmaker will "fail" a consumer benchmark and still be a fine steelmaker. Always compare a KPI against (a) the company's own 5–10 year history, (b) its closest listed peers, and (c) where we are in the economic cycle. A benchmark without context is noise.

## What KPIs cannot tell you

Operational KPIs describe *how well a business runs*. They do not tell you what the business is *worth*. A company can post excellent KPIs and still be a poor investment at a high price, and a company with weak KPIs can be priced for that already. KPIs also cannot see governance, accounting quality or promoter behaviour, and a company chooses which KPIs to disclose and how to define them. Treat them as one input to understanding a business, never as a verdict on a share price. This book describes what each number means and how it is commonly read — it does not tell you what to do with any security.

# 2. The Indian Data-Source Directory

Most operational KPIs are disclosed by companies themselves in their **quarterly investor presentations** (the fastest place) and **annual report MD&A** (the detailed place). They are then re-published and made comparable by the free tools below. "Primary" sources are the authoritative origin of a number; "live tools" are the fastest way to read, screen and compare it.

> ***A caution on third-party tools.*** *Screeners and aggregators re-publish data that companies filed elsewhere. They can lag, mis-tag a figure, or apply their own definition of a ratio. Where a number matters, trace it back to the company's filing on BSE/NSE. Several of these sites also publish ratings, scores or buy/sell-style calls; this book lists them as* ***data sources only*** *and does not endorse those opinions.*

## 2.1 Screeners and fundamental data

| Tool | What it does best | Link |
|---|---|---|
| **Screener.in** | Clean 10-year financials, ratios, shareholding, peer comparison | https://www.screener.in |
| **Tickertape** | Modern screener with filters, scores and valuations | https://www.tickertape.in |
| **Trendlyne** | Fundamentals + analyst estimates, forecaster, insider/pledge data, screeners | https://trendlyne.com |
| **Tijori Finance** | Industry-level datasets and sector KPIs | https://tijorifinance.com |
| **Moneycontrol** | News, financials, screener, corporate actions | https://www.moneycontrol.com |
| **MarketsMojo** | Screeners and rule-based stock scores (treat the scores as one opinion, not a source) | https://www.marketsmojo.com |

## 2.2 Charts, price and technical data

| Tool | What it does best | Link |
|---|---|---|
| **TradingView** | Charts, technicals, layouts | https://www.tradingview.com |
| **Investing.com India** | Charts, futures, economic calendar | https://in.investing.com |
| **Chartink** | Technical screeners over the full NSE universe | https://chartink.com |

## 2.3 Exchanges and primary market data

| Source | What it provides | Link |
|---|---|---|
| **NSE India** | Quotes, bhavcopy, corporate announcements, indices, F&O data | https://www.nseindia.com |
| **BSE India** | Quotes, bhavcopy, announcements, indices | https://www.bseindia.com |
| **NSE shareholding & deals** | Quarterly shareholding patterns, bulk/block deal disclosures | https://www.nseindia.com |

## 2.4 Regulators and primary filings

| Source | What it provides | Link |
|---|---|---|
| **MCA (Ministry of Corporate Affairs)** | Company annual returns, financial statements, charges | https://www.mca.gov.in |
| **SEBI** | Regulations, enforcement orders, registered-intermediary lists | https://www.sebi.gov.in |
| **RBI** | Bank/NBFC supervision data, monetary policy, the RBI Data Portal (formerly DBIE) | https://www.rbi.org.in |
| **IRDAI** | Insurance industry data and filings | https://irdai.gov.in |

## 2.5 Industry bodies and sector data (used throughout Part II)

| Body | Sector | Link |
|---|---|---|
| **SIAM** | Automobile production & sales volumes | https://www.siam.in |
| **IBEF** | Sector overviews across the economy | https://www.ibef.org |
| **AMFI** | Mutual-fund AUM and flows | https://www.amfiindia.com |
| **TRAI** | Telecom subscriber, ARPU and revenue data | https://www.trai.gov.in |
| **PPAC** | Petroleum product consumption | https://www.ppac.gov.in |
| **CEA** | Power generation, PLF and capacity | https://cea.nic.in |
| **DGCA** | Aviation traffic and load data | https://www.dgca.gov.in |
| **Indian Bureau of Mines** | Mineral production | https://ibm.gov.in |
| **Cement Manufacturers Association** | Cement capacity/utilisation | https://www.cmaindia.org |
| **Joint Plant Committee (JPC)** | Steel production data (the site is sometimes slow or unreachable) | https://www.jpcindiansteel.nic.in |
| **Ministry of Steel** | Steel sector data and policy | https://steel.gov.in |
| **MoSPI** | Macro statistics (GDP, IIP, CPI) | https://www.mospi.gov.in |
| **RBI Data Portal** (formerly DBIE) | Database on Indian Economy | https://data.rbi.org.in |

## 2.6 A note on annual reports

The ultimate primary source for any KPI is the **annual report** — available from the company's investor page and BSE/NSE filings. Read three sections closely:

1. **Management Discussion & Analysis (MD&A)** — where management explains the *drivers* behind the operational KPIs (volume, price, mix) and flags risks.
2. **Notes to accounts** — where accounting choices are disclosed and where KPI definitions can subtly change year to year.
3. **Related-party transactions and contingent liabilities** — where hidden obligations often live.

# 3. Private Sector Banks

**At a glance.** A private bank earns by borrowing cheap (deposits) and lending dear (loans), pocketing the spread, minus the cost of loans that go bad. The entire business is a machine for converting deposits into performing loans. The key drivers are the credit cycle, the deposit franchise, and asset quality. Listed leaders include HDFC Bank, ICICI Bank, Kotak Mahindra, Axis Bank, and IndusInd.

## The KPIs

**Net Interest Margin (NIM)** — the core spread: `(Interest earned − Interest paid) ÷ Average interest-earning assets`. It measures how profitably the bank deploys its funds.

*Why it matters:* NIM is the bank's gross operating margin. A bank with a strong low-cost deposit base (CASA) funds itself cheaply and enjoys a structurally higher NIM.

*How to read:* Indian private banks typically run 3.5–4.5%. A rising NIM is good; a NIM that stays high *while* asset quality deteriorates is a warning that the bank is chasing risky yield.

*Source:* Quarterly results presentation and MD&A; also on **Screener.in** and **Moneycontrol** bank pages.

**CASA ratio** — the share of **Current + Savings Account** deposits in total deposits. These are the cheapest funds a bank can gather.

*Why it matters:* Low-cost deposits are the moat. A high CASA ratio directly supports a high NIM and buffers against rate cycles.

*How to read:* Private banks target 40–50%. A falling CASA ratio means the bank is increasingly funding itself with expensive term deposits, which compresses NIM.

*Source:* Quarterly investor presentation (bank always discloses CASA).

**Gross NPA / Net NPA ratio** — the share of loans that have stopped paying (gross) and net of provisions (net).

*Why it matters:* Asset quality is the single most important number for a bank — bad loans eat capital and profits for years.

*How to read:* Private banks typically hold gross NPA below 3% and net NPA below 1%. A spike in gross NPA, or a *shrinking gap* between gross and net NPA (provisions not keeping pace with bad loans), signals stress.

*Source:* Quarterly results and RBI's quarterly banking statistics; **Trendlyne** tracks NPA history.

**Provision Coverage Ratio (PCR)** — `Provisions held ÷ Gross NPAs`. It shows how much of the bad-loan book is already provided for.

*Why it matters:* A high PCR means the bank has already absorbed the pain; future recoveries flow straight to profit.

*How to read:* Strong private banks run PCR of 60–75%+. A falling PCR with rising NPA is a double negative.

*Source:* Quarterly presentation.

**Capital Adequacy Ratio (CRAR / CAR)** — `Capital ÷ Risk-weighted assets`, the regulatory buffer required by RBI.

*Why it matters:* A well-capitalised bank can grow lending without raising fresh equity (which dilutes shareholders).

*How to read:* Under Basel III the RBI minimum is 9% plus a 2.5% capital conservation buffer, i.e. ~11.5% (higher for banks designated systemically important). Strong banks run 15–18%+. Banks near the minimum are constrained or may need capital raises.

*Source:* Quarterly presentation and RBI.

**Cost-to-Income ratio** — `Operating expenses ÷ Operating income`. How much the bank spends to earn each rupee of income.

*Why it matters:* It reveals operating efficiency independent of the credit cycle.

*How to read:* Efficient private banks run 40–45%. A rising cost-to-income with a flat branch network suggests cost discipline is slipping.

*Source:* Quarterly presentation; **Screener.in** shows it historically.

**Credit growth & deposit growth** — the year-on-year growth of the loan book and the deposit base.

*Why it matters:* Loans are the earning engine; deposits are the fuel. A bank that lends faster than it gathers deposits is funding the gap with costly borrowings.

*How to read:* Watch the *spread* between the two. Credit growth well above deposit growth is a yellow flag. A healthy bank grows both in the 12–18% range in a normal cycle.

*Source:* RBI sectoral credit data and quarterly presentations.

## Healthy profile vs red flags

- **Healthy:** NIM ≥ 4%, CASA ≥ 45%, net NPA < 1%, PCR ≥ 60%, CRAR ≥ 15%, cost-to-income ≤ 45%.
- **Red flags:** CASA falling while NIM rising (yield-chasing), gross NPA rising for 2+ quarters, PCR falling, credit growth far outpacing deposit growth, or repeated capital raises.

# 4. Public Sector (PSU) Banks

**At a glance.** PSU banks dominate India's branch network and hold a large share of deposits, but their mandate is social as much as commercial — priority-sector lending, financial inclusion, and government schemes. The trade-off is historically weaker asset quality and thinner returns. Listed leaders include State Bank of India, Bank of Baroda, Canara Bank, and Punjab National Bank.

## The KPIs

The core KPIs are the **same as private banks** (NIM, CASA, GNPA/NNPA, PCR, CRAR, cost-to-income) but are read against different benchmarks. Three additional KPIs matter specifically for PSU banks:

**Government stake** — the percentage held by the Government of India.

*Why it matters:* Government ownership is a double-edged sword — implicit support on the liability side, but also a cap on independence. SEBI's minimum public-shareholding rules and potential stake sales act as an overhang or a catalyst.

*How to read:* PSU banks are roughly 55–95% government-held. Stake sales have often been read positively because they improve free float, though they also add share supply.

*Source:* BSE/NSE shareholding pattern; **Trendlyne** and **Screener.in**.

**Return on Assets (RoA)** — `Net profit ÷ Average total assets`. The efficiency measure that matters most for banks, since banks are leveraged by design.

*Why it matters:* A bank's assets are its loans; RoA shows how profitably those loans are working after all costs and provisions.

*How to read:* PSU banks historically earn 0.4–0.8% RoA versus ~1.8–2% for the best private banks. Several PSU banks have moved to or above 1% RoA in recent years, well beyond that historical band; check the latest figure.

*Source:* Annual report and **Screener.in**.

**Provision Coverage & credit cost** — how aggressively the bank is cleaning its balance sheet.

*Why it matters:* PSU banks carried a multi-year legacy NPA overhang. The story of the last decade has been one of provision-and-recover. Falling credit cost (provisions as % of loans) is the clearest sign of the clean-up completing.

*How to read:* Credit cost trending down toward 1% or below, with PCR rising above 70%, is the classic "turnaround" signature.

*Source:* Quarterly presentation and RBI.

## Healthy profile vs red flags

- **Healthy:** RoA ≥ 0.8% and rising, net NPA ≤ 2% and falling, PCR ≥ 70%, CRAR comfortably above the ~11.5% norm.
- **Red flags:** RoA stuck below 0.5%, recurring capital infusions, NPA ratio improving only because the book is shrinking, or aggressive growth into risky segments just as the cycle peaks.

# 5. NBFCs and Housing Finance

**At a glance.** NBFCs (Non-Banking Financial Companies) lend like banks but cannot take deposits — they borrow from banks and the bond market and lend into niches banks underserve: vehicle finance, MSME, gold loans, microfinance, and housing (Housing Finance Companies, or HFCs). The business model is a spread business funded by wholesale borrowing, which makes the *liability side* as important as the asset side. Listed leaders include Bajaj Finance, Cholamandalam, and Shriram Finance; HFCs include LIC Housing Finance, PNB Housing, and Can Fin Homes. (HDFC Ltd, formerly the largest HFC, merged into HDFC Bank in 2023 and is no longer listed.)

## The KPIs

**AUM growth** — growth in Assets Under Management (the loan book).

*Why it matters:* For a lending franchise, AUM is the top line. Consistent AUM growth across cycles signals distribution strength and demand.

*How to read:* Compound AUM growth of 15–25% is healthy for a diversified NBFC. Watch that growth is not coming from a single hot segment (e.g. unsecured personal loans) at the cost of asset quality.

*Source:* Quarterly investor presentation.

**Net Interest Margin (NIM) / Spread** — the difference between lending yield and borrowing cost.

*Why it matters:* It is the NBFC's core profitability, but it must be read against risk — a very high NIM usually means riskier lending.

*How to read:* Diversified NBFCs run 6–9% NIM; HFCs 2–3.5%; gold-loan NBFCs higher. Compare NIM against the *same segment* peers, never across segments.

*Source:* Quarterly presentation and **Tijori Finance**.

**GNPA / NNPA and Provision Coverage Ratio** — asset quality and the buffer against it.

*Why it matters:* NBFC credit cycles are sharper than bank cycles because the borrower is typically a rung riskier and the funding is wholesale.

*How to read:* Diversified NBFCs hold gross NPA below 2–3% and net below 1%; microfinance runs structurally higher. A sudden spike in any retail NBFC is the earliest warning.

*Source:* Quarterly presentation and **Trendlyne**.

**Cost of funds** — the blended rate the NBFC pays on its borrowings.

*Why it matters:* Unlike banks, NBFCs have no cheap deposits, so their entire margin depends on borrowing cost. The ability to borrow cheaply is the franchise.

*How to read:* Falling cost of funds with rising or stable NIM is the best possible trend. Watch the *borrowing mix* — dependence on short-term commercial paper is a liquidity risk.

*Source:* Quarterly presentation and MD&A.

**Capital adequacy (CRAR) and leverage** — the capital buffer and `Total debt ÷ Net worth` gearing.

*Why it matters:* NBFCs grow by re-leveraging. Too much leverage leaves no cushion when the cycle turns.

*How to read:* RBI requires NBFCs to maintain ~15% CRAR. A comfortable NBFC holds 20%+ and keeps leverage below ~5–6×.

*Source:* Quarterly presentation and RBI.

**Collection efficiency** — the percentage of billed EMI dues actually collected in a period (key for vehicle, MFI and housing).

*Why it matters:* It is the earliest real-time health signal — a leading indicator that shows stress *before* it shows up in NPA ratios.

*How to read:* A stable 98–100% is normal for good franchises. A persistent drop to 95% or below flags trouble one or two quarters before NPA rises.

*Source:* Monthly business updates and quarterly presentations.

**For HFCs specifically — Loan-to-Value (LTV)** — the loan size relative to the property value.

*Why it matters:* It is the collateral cushion. Lower LTV = safer book (a 20% fall in property value still leaves the lender covered).

*How to read:* Prudent HFCs keep average LTV below 65–70%. High LTV (80%+) is a red flag in a housing downturn.

*Source:* HFC quarterly presentation.

## Healthy profile vs red flags

- **Healthy:** AUM compounding 15%+, NIM stable, net NPA < 2%, CRAR ≥ 20%, cost of funds falling, collection efficiency 98%+.
- **Red flags:** AUM growth funded by short-term borrowings, concentration in one segment, collection efficiency slipping, or leverage above 6×.

# 6. Insurance and Asset Management

**At a glance.** Two very different financial businesses share this chapter. **Life insurers** take long-term premiums, invest them, and pay claims/maturity later — a float business whose value is captured in embedded value. **General insurers** underwrite yearly risks (motor, health, fire). **Asset Management Companies (AMCs)** manage mutual-fund money and earn fees on AUM. Listed leaders: life — HDFC Life, SBI Life, ICICI Prudential Life, LIC; general — ICICI Lombard; AMC — HDFC AMC, Nippon India AMC, UTI AMC.

## The KPIs — Life Insurance

**APE (Annualised Premium Equivalent)** — a single measure of new business that converts single-premium policies into their annual equivalent: `APE = Annualised regular premium + 10% of single premium`.

*Why it matters:* It is the standard top-line of a life insurer — the size of the new-business engine.

*How to read:* Watch APE growth (10–20%+ is strong) and the *mix* — protection/term business is higher-quality than low-margin ULIP or single-premium.

*Source:* Monthly IRDAI disclosures and quarterly investor presentations.

**VNB (Value of New Business) and VNB margin** — the present value of future profits from new business, and VNB as a % of APE.

*Why it matters:* This is the single most important profitability metric for a life insurer — it tells you whether new business is being written *profitably*, not just at high volume.

*How to read:* Private life insurers report VNB margins of 25–30%+; LIC is lower given its product mix. A rising VNB margin with rising APE is the ideal combination.

*Source:* Quarterly investor presentation.

**Embedded Value (EV)** — the present value of future profits *plus* the net worth; the accepted valuation anchor for life insurers.

*Why it matters:* Life insurers are valued on EV (P/EV multiple), not P/E. Growth in EV is the compounding of the franchise.

*How to read:* EV growth of 15–20% a year is typical of good private insurers. Watch operating EV growth (excluding market moves).

*Source:* Annual results (EV is disclosed yearly) and **Tijori Finance**.

**Persistency ratio (13th and 61st month)** — the share of policies still paying premium after 13 months and 61 months.

*Why it matters:* It measures the quality of the book — policies that lapse destroy value and indicate misselling.

*How to read:* 13th-month persistency above 85% and 61st-month above 55–60% is healthy. A declining persistency is a red flag for distribution quality.

*Source:* IRDAI disclosures and annual report.

**Solvency ratio** — `Available solvency margin ÷ Required solvency margin`.

*Why it matters:* The regulator's safety floor — a life insurer must hold enough capital to meet obligations even under stress.

*How to read:* IRDAI requires 1.5×; strong insurers hold 1.8–2×+.

*Source:* Annual report and IRDAI.

## The KPIs — General Insurance

**Combined ratio** — `(Claims + Expenses) ÷ Premiums earned`. Below 100% means the underwriting itself is profitable.

*Why it matters:* A general insurer's core discipline is underwriting. A combined ratio below 100% means it makes money on the insurance itself; above 100% means it relies on investment income to break even.

*How to read:* Indian general insurers have historically run 100–110%+. Trending down toward 100% or below is a genuine improvement.

*Source:* IRDAI disclosures and annual report.

**Gross Written Premium (GWP) growth and product mix** — top-line premium and the motor/health/other split.

*Why it matters:* Mix drives profitability — motor is competitive, health is growing but claims-heavy.

*How to read:* Watch GWP growth against the combined ratio: growing premium *while* combined ratio falls is the winning formula.

*Source:* IRDAI monthly data.

## The KPIs — Asset Management

**AUM and AUM mix (equity vs debt)** — total assets under management and the split.

*Why it matters:* AMCs earn far higher fees on equity AUM than debt. Equity-heavy AUM is the quality mix.

*How to read:* Watch quarterly AUM (published monthly by AMFI) and, critically, the *equity share*. A rising equity share is a margin tailwind.

*Source:* AMFI (https://www.amfiindia.com) monthly data.

**SIP inflows** — the monthly systematic-investment-plan flow into mutual funds.

*Why it matters:* SIPs are the sticky, recurring revenue engine — they smooth out lumpy flows and are the most durable form of AUM growth.

*How to read:* Industry SIP flows are published monthly by AMFI; individual AMCs disclose their share. Rising SIP flow is the best structural signal in the entire Indian financial sector.

*Source:* AMFI monthly reports and AMC investor presentations.

**Yield on AUM / operating margin** — fees earned per rupee of AUM and the resulting margin.

*Why it matters:* Passive and index products have compressed yields industry-wide; a firm that holds its yield while growing AUM is winning on pricing power.

*How to read:* Operating margins of 40–60% are typical for large AMCs. Watch for yield erosion from rising passive/ETF share.

*Source:* AMC annual report and **Screener.in**.

## Healthy profile vs red flags

- **Healthy:** Life — VNB margin ≥ 25%, persistency ≥ 85%, solvency ≥ 1.8×. AMC — equity-heavy AUM, rising SIP flow, stable yield.
- **Red flags:** APE growth driven by single-premium/ULIP, falling persistency, combined ratio persistently above 110%, or AUM growth funded by volatile institutional flows.

# 7. IT Services and Software

**At a glance.** Indian IT services companies sell engineering labour and technology delivery to global (mostly US/Europe) enterprises. Revenue is earned in dollars, so currency is a driver, but the real drivers are client budgets (the global tech-spend cycle), deal wins, and talent management. Listed leaders include TCS, Infosys, HCLTech, Wipro, and Tech Mahindra.

## The KPIs

**Revenue growth in constant currency (USD)** — growth excluding currency swings, expressed in the client's currency.

*Why it matters:* Because revenue is in USD, you must strip out rupee/dollar noise to see real demand. Constant-currency growth is the true demand signal.

*How to read:* Large caps target high-single-digit to low-double-digit constant-currency growth; a slowdown below ~5% signals weak client spending. Always read the company's stated guidance alongside.

*Source:* Quarterly earnings release and investor call transcript.

**Deal wins / TCV (Total Contract Value) and order book** — the value of new contracts signed.

*Why it matters:* TCV is the leading indicator of *future* revenue. A rising TCV today is revenue two to four quarters out.

*How to read:* Watch TCV growth and the share of *large deals*. Each company sets its own "large" and "mega" deal thresholds, so read the definition in its release before comparing. A weak TCV quarter warns of slower growth ahead even if current revenue is fine.

*Source:* Quarterly press release and earnings call.

**Utilization rate** — the percentage of billable employees actually deployed on client work.

*Why it matters:* An employee is either billing or sitting idle. Utilization is the operating leverage of the model.

*How to read:* 82–87% is typical. A high and rising utilization (above ~88%) suggests the firm is running out of bench and will have to hire (margin-dilutive) — a leading signal of demand strength.

*Source:* Quarterly earnings release.

**Attrition (LTM)** — the trailing-twelve-month percentage of employees who left.

*Why it matters:* Attrition is both a cost (retraining, wage inflation) and a signal of culture and demand for talent.

*How to read:* Post-2021 attrition spiked to 20–25%; normalised levels are 12–17%. Falling attrition usually improves margins with a one-quarter lag.

*Source:* Quarterly earnings release.

**Operating (EBIT) margin** — the headline profitability, very sensitive to the four levers above (utilization, attrition/wages, sub-contracting, pricing).

*Why it matters:* IT margins compress or expand almost mechanically from the operational KPIs. Understanding the levers lets you predict the margin.

*How to read:* Tier-1 firms run 18–26% EBIT margins. A margin drop explained by rising sub-contracting (not wage inflation) is the highest-quality warning of demand pressure.

*Source:* Quarterly results; **Screener.in**.

**Revenue per employee / headcount growth** — productivity per billable person and the pace of hiring.

*Why it matters:* IT is a people business; revenue per employee measures productivity, and headcount growth *precedes* revenue growth.

*How to read:* Falling revenue per employee (while headcount rises) means the firm is adding people faster than output — a margin warning. Negative headcount growth is the clearest sign of demand contraction.

*Source:* Quarterly earnings release and annual report.

**Client concentration (top 5 / top 10 clients)** — revenue dependence on the largest clients.

*Why it matters:* Concentrated revenue is a concentration of risk — one lost client moves the top line.

*How to read:* Watch the trend, not the level. Rising top-5 concentration is fine if driven by large transformational deals; it is a risk if a single client's ramp is masking weakness elsewhere.

*Source:* Annual report.

## Healthy profile vs red flags

- **Healthy:** Constant-currency growth ≥ 8%, TCV growing faster than revenue, attrition falling, EBIT margin stable-to-rising, revenue per employee stable.
- **Red flags:** TCV falling while revenue is flat, sub-contracting costs rising sharply, headcount shrinking, or margin held up only by one-off currency gains.

# 8. Pharmaceuticals and Biotech

**At a glance.** Indian pharma splits into two very different businesses: the **domestic branded business** (chronic/acute therapies sold to Indian doctors) and the **export business** (US generics, other regulated markets, and emerging markets). The US generics business is driven by filings, approvals and price erosion; the domestic business by therapy mix and field-force reach. Listed leaders include Sun Pharma, Cipla, Dr Reddy's, Divi's Labs, and Lupin.

## The KPIs

**Revenue mix — domestic vs US vs other exports** — the geographic split.

*Why it matters:* Each geography has a different profitability and risk profile. US generics are high-revenue but face relentless price erosion; domestic branded is steadier and higher-margin.

*How to read:* Watch the *shift* in mix. A rising domestic share is generally re-rated positively; a rising US share must be read with price-erosion and approval momentum.

*Source:* Quarterly investor presentation.

**US price erosion** — the year-on-year decline in US generic prices (a sector-level number).

*Why it matters:* US generic pricing is structurally deflationary due to buyer consolidation (the big three wholesalers). Every US-exposed firm fights this tide.

*How to read:* Erosion of 5–10% a year is the norm; firms beat it by launching *new* products faster than old ones deflate. A firm growing US revenue *despite* erosion is gaining share.

*Source:* Management commentary on earnings calls; sector reports.

**ANDA / DMF filings and approvals** — Abbreviated New Drug Applications are filed with, and approved by, the US FDA; Drug Master Files (confidential manufacturing dossiers) are filed but not "approved".

*Why it matters:* These are the pipeline. Approvals today are revenue tomorrow; filings today are revenue two years out.

*How to read:* Track the cumulative pending ANDA count and the annual approval run-rate. A firm with a thin pipeline faces a revenue cliff as existing products erode.

*Source:* Quarterly presentation and FDA databases.

**USFDA compliance status — inspections, 483s, Warning Letters** — the regulatory health of a company's plants.

*Why it matters:* A Warning Letter or import alert on a key plant freezes US approvals and can halt shipments — a direct hit to the export business. It is the single biggest binary risk in pharma.

*How to read:* Clean/positive inspection outcomes are the baseline; track the number of facilities under warning letters. Resolution (lifting of a warning letter) is a major positive catalyst.

*Source:* US FDA website and company disclosures.

**R&D spend as % of revenue** — investment in new molecules, complex generics and biosimilars.

*Why it matters:* R&D intensity signals the firm's bet on the future — complex generics and specialty products are the defence against commodity price erosion.

*How to read:* 6–12% of sales is typical for serious players; heavy R&D without a corresponding product pipeline is a cost drag, not a moat.

*Source:* Annual report.

**Domestic chronic vs acute mix** — the share of revenue from chronic therapies (diabetes, cardiac, CNS) versus acute (anti-infectives, pain).

*Why it matters:* Chronic prescriptions are stickier and more resilient; acute is more price- and season-sensitive. Chronic-heavy portfolios command higher multiples.

*How to read:* A rising chronic share is a quality upgrade. Compare against the Indian market's roughly 35–40% chronic share (industry estimates vary by source).

*Source:* Quarterly presentation and annual report (therapy-wise break-up).

**Gross margin and EBITDA margin** — profitability (higher than most industries; pharma gross margins often exceed 60%).

*Why it matters:* Margins reveal pricing power and manufacturing efficiency.

*How to read:* Gross margins of 55–75% and EBITDA margins of 18–30% are common. A falling gross margin usually signals raw-material (API) cost pressure or US price erosion.

*Source:* **Screener.in** and quarterly results.

## Healthy profile vs red flags

- **Healthy:** Balanced mix, rising chronic share, growing ANDA pipeline, clean FDA status, R&D 6%+.
- **Red flags:** Revenue concentrated in a few US products facing patent expiry, a Warning Letter on a major plant, falling gross margin, or R&D spending with no pipeline to show for it.

# 9. Healthcare Services (Hospitals and Diagnostics)

**At a glance.** Hospitals and diagnostics are the *delivery* side of healthcare — capital-intensive bed-and-equipment businesses whose unit economics are measured per bed, per patient and per test. Drivers are medical inflation, insurance penetration, and capacity expansion. Listed leaders: hospitals — Apollo, Max, Fortis, Narayana; diagnostics — Dr Lal PathLabs, Metropolis, Vijaya Diagnostic.

## The KPIs — Hospitals

**ARPOB (Average Revenue Per Occupied Bed)** — `Hospital revenue ÷ Occupied bed-days`. The revenue earned per occupied bed per day. Companies differ on what counts as revenue (some include outpatient income, some exclude pharmacy), so compare only like-for-like definitions.

*Why it matters:* It is the price metric of a hospital — the blend of specialty mix and pricing power.

*How to read:* Rising ARPOB is good *if* driven by a better specialty/payor mix (cardiology, oncology, transplants) rather than by raising rack rates on a static mix. Compare ARPOB with peers in the same city.

*Source:* Quarterly investor presentation.

**Occupancy rate** — `Occupied bed-days ÷ Available bed-days`.

*Why it matters:* It is the utilization metric of the fixed-cost bed base; hospitals have high fixed costs, so occupancy drives operating leverage.

*How to read:* 65–75% is typical for mature hospitals; new hospitals run lower during ramp-up. Watch occupancy on the *mature* bed base (excluding newly added beds that are still ramping).

*Source:* Quarterly presentation.

**ALOS (Average Length of Stay)** — the average number of days a patient stays.

*Why it matters:* It measures throughput efficiency and, indirectly, case mix (complex cases stay longer).

*How to read:* A falling ALOS can be good (efficiency) or bad (loss of complex/surgical cases). Read ALOS *with* ARPOB: ALOS up and ARPOB up = better case mix; ALOS down and ARPOB down = losing complexity.

*Source:* Quarterly presentation.

**Bed capacity and additions** — total operational beds and newly added beds.

*Why it matters:* Hospitals grow by adding beds; the growth pipeline is visible years ahead in announced expansion.

*How to read:* Track beds added vs occupancy — adding beds into a saturated market dilutes occupancy and margins. A hospital adding beds *while* holding occupancy is compounding well.

*Source:* Annual report and quarterly presentation.

**Payor mix** — the share of revenue from cash/self-pay vs insurance/TPA vs government schemes.

*Why it matters:* Insurance and self-pay reimburse better than government schemes (like CGHS/Ayushman), so payor mix drives realization.

*How to read:* A rising share of cash + insurance (versus government schemes) is margin-positive.

*Source:* Annual report and investor presentations.

## The KPIs — Diagnostics

**Test volume growth and realization per test** — the number of tests and the average revenue per test.

*Why it matters:* Diagnostics is a volume-and-price game: growth must come from both more tests and stable pricing.

*How to read:* Watch the split — volume growth with *stable* realization is healthy; a price war (realization falling) is the sector's biggest risk, especially in the fragmented pathology market.

*Source:* Quarterly investor presentation.

**Network size — labs and collection centres** — the physical footprint.

*Why it matters:* Diagnostics is a network-density business; collection centres feed the central labs and drive walk-in volume.

*How to read:* Track centre additions and their productivity (revenue per centre). Rapid centre additions with falling per-centre revenue mean low-quality expansion.

*Source:* Quarterly presentation and annual report.

**Revenue per patient** — the average bill per patient.

*Why it matters:* A proxy for test mix and cross-selling of higher-value (specialized) tests.

*How to read:* Rising revenue per patient is good when driven by specialized/preventive test mix, not price hikes alone.

*Source:* Annual report.

## Healthy profile vs red flags

- **Healthy:** Hospitals — occupancy 65%+, ARPOB rising with case mix, payor mix improving. Diagnostics — double-digit volume growth, stable realization, productive network.
- **Red flags:** Occupancy falling on a mature bed base, aggressive bed additions into saturated markets, or diagnostic realization falling in a price war.

# 10. FMCG (Fast-Moving Consumer Goods)

**At a glance.** FMCG sells high-frequency, low-ticket branded staples — soaps, biscuits, oils, beverages, home care. The business runs on distribution reach and brand loyalty. Drivers are volume (population + consumption), pricing power (raw-material pass-through), and rural demand. Listed leaders include Hindustan Unilever, ITC, Nestlé India, Britannia, Dabur, and Marico.

## The KPIs

**Volume growth vs value growth** — the split between units sold and price/mix.

*Why it matters:* FMCG companies report both. Volume growth is the *true* demand signal; value growth can be flattered by price hikes. A company growing value on *declining volume* is pricing itself into demand destruction.

*How to read:* Healthy FMCG runs low-to-mid-single-digit volume growth in India (population + penetration). Read the volume/value gap every quarter.

*Source:* Quarterly earnings release and concall.

**Market share (per category)** — the company's share of each category it competes in (soap, shampoo, biscuits…).

*Why it matters:* In a distribution game, market share is the scoreboard — it tells you who is winning at the shelf.

*How to read:* Track share trends by category (reported in quarterly presentations). Share gains in the *core* categories matter more than in fringe launches.

*Source:* Quarterly investor presentation (companies disclose category share trends).

**Distribution reach (number of outlets)** — direct and indirect reach into kirana stores.

*Why it matters:* Distribution is the moat. Greater reach = more shelf space = more volume, and it is very hard for a competitor to replicate quickly.

*How to read:* Watch outlet additions and, increasingly, *rural reach*. A company expanding reach faster than peers is structurally gaining share.

*Source:* Annual report and investor presentations.

**Gross margin** — the buffer against raw-material cost (palm oil, crude derivatives, agri-commodities).

*Why it matters:* FMCG gross margins (40–60%+) are high but swing with input costs. The ability to *hold* gross margin through an input-cost cycle is pricing power in action.

*How to read:* A stable gross margin despite commodity spikes = strong pricing power; a collapsing gross margin = the brand cannot pass costs on.

*Source:* **Screener.in** and quarterly results.

**Advertising & promotion spend (A&P) as % of revenue** — marketing investment.

*Why it matters:* It is the fuel for brand moats, but overspending erodes margins. The ratio reveals brand-building intensity.

*How to read:* 6–12% of revenue is typical. A rising A&P that *doesn't* convert to market share is wasted spend; a falling A&P that *holds* share is a strong franchise.

*Source:* Annual report.

**Working-capital cycle** — receivable + inventory days – payable days.

*Why it matters:* FMCG is one of the few industries where *negative* working capital is a sign of strength — distributors pay upfront, inventory turns fast, and suppliers are paid late.

*How to read:* A negative or very low working-capital cycle is normal and good. A worsening cycle (rising inventory days) can flag slowing demand or channel stuffing.

*Source:* **Screener.in** and annual report.

**Rural vs urban growth** — the demand split.

*Why it matters:* Rural India is the volume growth engine and is more sensitive to monsoons, crop prices and inflation.

*How to read:* When rural growth outpaces urban, the sector is in a genuine demand upcycle; a rural slump (driven by weak monsoons or high food inflation) is the classic sector-wide headwind.

*Source:* Management commentary on concalls and sector reports.

## Healthy profile vs red flags

- **Healthy:** Volume growth positive, market share stable or rising, gross margin resilient, distribution reach expanding.
- **Red flags:** Value growth on negative volumes, share loss in core categories, channel stuffing (inventory building), or gross margin compression that lasts multiple quarters.

# 11. Automobiles and Auto Ancillaries

**At a glance.** Automobiles is a cyclical, capital-intensive business driven by consumer income, financing cost and the product cycle. OEMs (Original Equipment Manufacturers) design and sell vehicles; ancillaries supply components. Vehicle sales data is the most transparent in India — published monthly by SIAM. Listed OEM leaders: Maruti Suzuki, Tata Motors (whose passenger- and commercial-vehicle businesses were separated into distinct listed companies in 2025 — check current names), M&M, Bajaj Auto, Hero MotoCorp, Eicher, Ashok Leyland. Ancillaries: Samvardhana Motherson, Bosch, Bharat Forge, Sona Comstar, Uno Minda.

## The KPIs — OEMs

**Volume growth (domestic + exports)** — units sold, split domestic and exports.

*Why it matters:* Volume is the top line of an auto OEM and the most transparent data in India (monthly SIAM + company filings).

*How to read:* Compare the company's growth to the *industry* growth — share gain/loss shows up immediately. Track monthly volumes to catch inflection points early.

*Source:* SIAM (https://www.siam.in) and company monthly sales disclosures.

**Market share (by segment)** — share of passenger vehicles, two-wheelers, commercial vehicles etc.

*Why it matters:* Share is the competitive scoreboard, and it is unusually transparent in autos.

*How to read:* A stable or rising share in the core segment is the hallmark of a strong OEM; sustained share loss (even with growing volumes) signals product-cycle weakness.

*Source:* SIAM monthly data.

**Capacity utilization** — production as a % of installed capacity.

*Why it matters:* Autos is fixed-cost heavy; utilization drives operating leverage and margins.

*How to read:* Above ~80% is healthy; sustained low utilization (below ~65%) means the OEM is over-capitalized and margins will suffer. Watch utilization *with* expansion plans.

*Source:* Annual report and management commentary.

**Dealer inventory days** — the number of days of vehicle stock sitting with dealers.

*Why it matters:* It is the leading indicator of the demand-supply balance. A build-up of dealer inventory means retail demand is softer than wholesale dispatches (channel stuffing).

*How to read:* 20–30 days is healthy for cars; 4–6 weeks is normal for two-wheelers. Inventory spiking above normal signals an impending production cut or discounting.

*Source:* FADA (Federation of Automobile Dealers Associations) data and management commentary.

**Average Selling Price (ASP) / realization per vehicle** — revenue per unit sold.

*Why it matters:* It reveals the mix shift — a rising ASP means the company is selling more premium vehicles (SUVs, EVs), which is margin-accretive.

*How to read:* ASP rising alongside volume = premiumization working. ASP falling = mix dilution or discounting.

*Source:* Computed from revenue ÷ volumes; management commentary.

**Product mix — SUV vs hatchback, EV share, etc.** — the composition of sales.

*Why it matters:* Premium and EV segments carry higher margins and are the growth direction of the market.

*How to read:* Watch the EV share trajectory and the SUV mix. A firm with a weak EV pipeline risks secular share loss even if current volumes look fine.

*Source:* SIAM and company disclosures.

## The KPIs — Ancillaries

**Content per vehicle** — the value of components supplied per vehicle.

*Why it matters:* Ancillaries grow faster than the underlying vehicle industry when they *increase content per vehicle* (more electronics, safety, EV components).

*How to read:* A supplier growing revenue faster than OEM volumes is increasing content — the key structural growth lever. EV transition is a content opportunity *and* a threat to combustion-specific parts.

*Source:* Annual report and analyst calls.

**Customer concentration** — dependence on the largest OEM clients.

*Why it matters:* Concentrated customers mean concentrated risk; diversified ones smooth out individual OEM cycles.

*How to read:* Watch the trend. Heavy dependence on one OEM (or one platform) is a risk if that OEM loses share.

*Source:* Annual report.

**Export share** — the share of revenue from exports.

*Why it matters:* Exports diversify away from domestic OEM cycles and, for some, command better margins.

*How to read:* Rising export share with stable margins is positive. Watch currency and global auto-cycle exposure.

*Source:* Annual report.

**EBITDA margin and capital intensity** — profitability and the capex required per rupee of growth.

*Why it matters:* Ancillary margins (8–15%) are thinner than OEMs in some cases but more stable; capital intensity determines return on capital.

*How to read:* Compare margins with peers in the *same* product line (casting, forging, wiring, etc.), not across all ancillaries.

*Source:* **Screener.in** and annual report.

## Healthy profile vs red flags

- **Healthy:** OEM — volume growth above industry, share stable, utilization 80%+, dealer inventory normal. Ancillary — content per vehicle rising, diversified customers, margins stable.
- **Red flags:** Dealer inventory ballooning, sustained share loss, ASP falling on discounting, or an ancillary overly dependent on one OEM.

# 12. Consumer Durables and Electronics

**At a glance.** Consumer durables — air conditioners, refrigerators, washing machines, fans, small appliances — are discretionary, penetration-driven and highly seasonal (summer drives cooling). The industry is transitioning from import/assembly to local manufacturing (PLI scheme). Listed leaders include Voltas, Blue Star, Havells, Crompton Greaves Consumer Electricals, Dixon Technologies, and Amber Enterprises.

## The KPIs

**Category volume growth and market share** — units sold by category and share.

*Why it matters:* Durables are a penetration story — India's AC and refrigerator penetration is far below global averages, so long-run volume growth is structural.

*How to read:* Track category growth vs the company's growth (share signal). Watch the AC and refrigerator categories specifically — they are the largest and most competitive.

*Source:* Company disclosures and industry estimates; IBEF (https://www.ibef.org).

**Seasonality and the summer/ winter split** — the concentration of sales in peak seasons.

*Why it matters:* A large share of cooling sales happens in Mar–Jun. A weak summer or an unseasonal monsoon directly hits volumes and inventory.

*How to read:* Compare a quarter against the same quarter last year, not sequentially. Watch unseasonal weather as a demand signal.

*Source:* Management commentary.

**Gross margin and input costs** — the cost of compressors, copper, aluminium and other components.

*Why it matters:* Durables gross margins (28–40%) swing with commodity (copper/aluminium) prices, which cannot always be passed on quickly in a competitive market.

*How to read:* A stable gross margin through a commodity spike is pricing power; a lagging pass-through compresses margins for 1–2 quarters.

*Source:* **Screener.in** and quarterly results.

**Inventory days** — the stock of finished goods relative to sales.

*Why it matters:* Durables carry expensive inventory; a failed season leaves obsolete stock that must be discounted. Inventory is the classic tell of a demand miss.

*How to read:* Rising inventory days after a weak season is a red flag. Inventory turning faster than peers is an efficiency advantage.

*Source:* **Screener.in** and annual report.

**Localization % / manufacturing footprint** — the share of production done domestically vs imported.

*Why it matters:* PLI incentives and duty structures are shifting the industry toward local manufacturing; firms that localize gain cost and margin advantages and are less exposed to import disruptions.

*How to read:* Rising localization is structurally positive. Compare with peers and watch PLI benefit accrual.

*Source:* Annual report and management commentary.

**Energy-efficiency ratings / product mix** — the mix of high-efficiency (5-star inverter) vs entry products.

*Why it matters:* Premiumization (inverter ACs, high-star ratings) lifts ASP and margins.

*How to read:* A rising share of premium products = margin accretion. Watch the inverter-AC share as the key mix metric.

*Source:* Company disclosures and industry reports.

## Healthy profile vs red flags

- **Healthy:** Category growth plus share gains, rising premium mix, stable gross margin, inventory under control.
- **Red flags:** Inventory build-up after a weak season, falling gross margin from input costs, or share loss in the core AC category.

# 13. Retail

**At a glance.** Retail sells goods directly to consumers through physical stores and online channels. The key businesses are grocery, apparel, and specialty (jewellery is covered separately). The model is a thin-margin, high-turnover game where store economics and same-store growth matter more than total revenue. Listed leaders include Avenue Supermarts (DMart), Trent, V-Mart, Aditya Birla Fashion and Retail, and Titan (jewellery — see its own chapter).

## The KPIs

**Same-Store Sales Growth (SSSG)** — revenue growth from stores open at least a year (excludes new-store additions).

*Why it matters:* It is the purest measure of *existing-store* health — is the customer buying more from the stores already built? It strips out the flattery of aggressive store additions.

*How to read:* Mid-to-high single-digit SSSG is healthy for mature retailers. Declining or negative SSSG means the core business is stagnating even as the network grows.

*Source:* Quarterly results and concall (retailers disclose SSSG).

**Revenue per square foot** — `Revenue ÷ Total retail area`. The productivity of the store estate.

*Why it matters:* It measures how efficiently the retailer converts space into sales — the true unit economics of a store-based business.

*How to read:* Compare across peers and over time. Rising revenue per sq ft means better assortment, location or execution; falling means stores are becoming less productive.

*Source:* Annual report and investor presentations.

**Store count and net additions** — the number of stores and the pace of opening/closing.

*Why it matters:* Retail growth is a two-engine machine: same-store growth plus new stores. Store additions are the growth pipeline.

*How to read:* Read additions *with* SSSG. Rapid additions with negative SSSG = growth bought at the cost of store productivity (a warning). Consistent additions with positive SSSG = compounding.

*Source:* Quarterly presentation.

**Store size and format mix** — average store size and the split across formats (hypermarket, supermarket, express).

*Why it matters:* Format drives economics — a DMart hypermarket economics differ from an express store. The format mix shapes the margin profile.

*How to read:* Watch the shift toward smaller, faster formats (higher throughput) or larger (higher ticket). Compare like-for-like formats.

*Source:* Annual report.

**Inventory turnover** — `Cost of goods sold ÷ Average inventory`. How fast stock sells.

*Why it matters:* In thin-margin retail, inventory turns are everything — faster turns mean less capital tied up and fresher stock (fewer markdowns).

*How to read:* Grocery turns very fast (30+ times a year for leaders); apparel slower. A slowing turnover flags weak demand or over-buying.

*Source:* **Screener.in** and annual report.

**Private-label share** — the share of revenue from the retailer's own brands.

*Why it matters:* Private labels carry higher margins than national brands and build customer loyalty.

*How to read:* A rising private-label share is margin-positive. Watch the balance — too much private label can hurt assortment appeal.

*Source:* Annual report and management commentary.

**Online vs offline contribution** — the channel split.

*Why it matters:* Omnichannel is now table stakes; the online channel has different (often lower) margins and must be read separately.

*How to read:* Watch online contribution growth and whether it is accretive or dilutive to margins. For pure-play online, look at contribution margin per order and customer acquisition cost.

*Source:* Quarterly results.

## Healthy profile vs red flags

- **Healthy:** Positive SSSG, rising revenue per sq ft, disciplined store additions, fast inventory turns, growing private label.
- **Red flags:** Negative SSSG masked by store additions, falling revenue per sq ft, rising inventory, or unprofitable online expansion.

# 14. Metals and Mining

**At a glance.** Metals (steel, aluminium, copper, zinc) are global commodity businesses: price-takers whose fortunes track global supply-demand and the domestic capex cycle. The lever a company controls is cost — raw-material security and conversion efficiency. Mining supplies the ore. Listed leaders: steel — Tata Steel, JSW Steel, Jindal Steel, SAIL; aluminium/copper — Hindalco, Vedanta; zinc — Hindustan Zinc; mining — Coal India, NMDC.

## The KPIs — Steel

**Realization per tonne** — average selling price per tonne of steel.

*Why it matters:* Steel is a price-taker; realization is set by the market, not the company. Tracking it separates *price* moves from *volume* and *cost* moves.

*How to read:* Compare realization against peers (regional and product mix differences). Read it *with* cost per tonne to get the spread (margin per tonne).

*Source:* Quarterly results and JPC (https://www.jpcindiansteel.nic.in) data.

**EBITDA per tonne** — operating profit per tonne.

*Why it matters:* The single cleanest profitability metric in steel — it isolates the margin per unit of steel, stripping out volume noise.

*How to read:* Track the cycle — EBITDA/tonne can swing from ₹3,000 to ₹15,000+ across the cycle. Compare against peers (those with integrated raw-material security sustain higher EBITDA/tonne).

*Source:* Quarterly investor presentation (companies disclose EBITDA/tonne).

**Cost per tonne and raw-material security (coking coal, iron ore)** — the input cost structure.

*Why it matters:* Coking coal is imported (price exposed to global markets); iron ore is available domestically but captive mines are the advantage. Raw-material integration is the moat.

*How to read:* Firms with captive iron-ore/coal mines (Tata Steel, JSW via acquisitions) sustain structurally lower cost per tonne. Watch the *spread* between realization and cost.

*Source:* Quarterly presentation and MD&A.

**Capacity utilization and production volume** — output as a % of capacity.

*Why it matters:* Steel has high fixed costs; utilization drives operating leverage.

*How to read:* Above 85% is healthy. A firm adding capacity into a downcycle compresses utilization and margins.

*Source:* Quarterly results and JPC.

**Product mix — flat vs long, value-added share** — the composition of the steel sold.

*Why it matters:* Value-added (coated, auto-grade, speciality) steel carries higher and more stable margins than commodity rebar.

*How to read:* A rising value-added share is a margin-quality upgrade. Watch the auto/construction end-market split.

*Source:* Quarterly presentation.

## The KPIs — Aluminium / Copper / Mining

**LME price and premium** — the global price (London Metal Exchange) plus regional premium.

*Why it matters:* Aluminium/copper/zinc prices are set globally; the company is a price-taker.

*How to read:* Track LME as the revenue driver, then judge the company on *cost* and *volume*.

*Source:* LME data via **Investing.com** / **TradingView**.

**Alumina cost and power cost** — the two biggest input costs for aluminium (alumina + electricity).

*Why it matters:* Aluminium's economics are dominated by alumina and power. Captive alumina and captive power are the cost moat.

*How to read:* Hindalco/Vedanta with captive alumina and captive power sustain lower cost per tonne than peers. Watch the cost curve position.

*Source:* Quarterly presentation.

**Smelter utilization and production volume** — output relative to capacity.

*Why it matters:* Smelting is continuous and fixed-cost; utilization is the operating-leverage lever.

*How to read:* Near-100% utilization is normal and healthy for smelters; downtime signals trouble.

*Source:* Quarterly results.

**Mining — ore production volume and grade, mine life** — for miners (Coal India, NMDC).

*Why it matters:* A miner's assets are its reserves; grade and mine life determine long-run value, while quarterly volume drives revenue.

*How to read:* Watch production volume vs targets, the ore grade trend (falling grade raises cost), and remaining mine life (a shrinking reserve is a terminal risk).

*Source:* Annual report and quarterly results; Indian Bureau of Mines (https://ibm.gov.in).

## Healthy profile vs red flags

- **Healthy:** EBITDA/tonne above peer average through the cycle, captive raw-material security, high utilization, rising value-added mix.

- **Red flags:** Cost per tonne rising faster than realization, aggressive capacity additions into a downcycle, or falling ore grades without new reserves.

# 15. Cement

**At a glance.** Cement is the classic "low-value, high-volume" commodity — heavy, perishable (~90-day shelf life), and expensive to transport, so the industry competes regionally rather than nationally. The value chain is: limestone quarry → clinker plant → grinding unit → market. Almost all profit levers are *cost* levers. Listed leaders include UltraTech, Ambuja, ACC, Shree Cement, and Dalmia Bharat.

## The KPIs

**Installed capacity and capacity utilization** — production capacity and the share actually used.

*Why it matters:* Cement is capital-intensive; utilization drives operating leverage. Adding capacity into a demand lull compresses utilization and prices.

*How to read:* 70–80% utilization is typical. A firm growing capacity *while* holding utilization is growing into demand; a firm adding capacity with falling utilization is creating oversupply.

*Source:* Quarterly investor presentation and CMA (https://www.cmaindia.org).

**Sales volume (million tonnes)** — cement sold.

*Why it matters:* Volume is the demand side. Some cement makers even sell more than they produce (buying from others) to hold market share.

*How to read:* Compare volume growth with the industry growth rate. Consistent outperformance = market-share gain.

*Source:* Quarterly presentation.

**Realization per tonne (₹/MT)** — average selling price per tonne.

*Why it matters:* Realization reflects regional pricing and the trade/non-trade mix. Higher realization means the firm commands a price premium or serves better markets.

*How to read:* Compare realization across peers; differences reveal brand/pricing power and regional exposure. Watch realization *with* cost per tonne to get the margin.

*Source:* Quarterly presentation.

**Cost per tonne — input, power & fuel, and freight** — the three big cost centres as a ratio of revenue.

*Why it matters:* This is the heart of cement analysis. Input (limestone + raw materials), power & fuel (coal/petcoke + captive power), and freight (the biggest — cement is heavy) are the three levers a company controls.

*How to read:* Compute each as a % of revenue and compare across peers. The lowest freight ratio usually wins (grinding units close to market, captive fleets). A falling cost ratio = improving

competitiveness.

*Source:* Annual report (break-up of expenses) and quarterly presentation.

**Clinker factor** — the proportion of clinker in the cement recipe.

*Why it matters:* Clinker is the most fuel-intensive step; a lower clinker factor (more fly-ash/slag blended in) cuts fuel cost *and* carbon footprint.

*How to read:* Lower is better, provided strength is maintained. Watch the clinker-to-cement ratio trend.

*Source:* Annual report and sustainability disclosures.

**Limestone reserves / mine life** — the years of limestone reserves remaining.

*Why it matters:* Limestone is the irreplaceable input, and captive reserves are the ultimate moat — without them, a plant depends on costly purchased limestone or is terminal.

*How to read:* Longer mine life (decades) is better. Watch reserve additions vs consumption.

*Source:* Annual report and MD&A.

**Lead distance / regional footprint** — how far cement travels from plant to market, and where the company operates.

*Why it matters:* Freight is the largest controllable cost, and cement is perishable, so proximity to market is everything. Regional diversification also hedges local demand/price swings.

*How to read:* Shorter lead distance = lower freight cost. A diversified regional footprint reduces single-market risk. Watch the trade vs non-trade (B2B) mix, too.

*Source:* Annual report and quarterly presentation.

## Healthy profile vs red flags

- **Healthy:** High utilization, volume growth above industry, realization holding, falling cost ratios, captive limestone reserves.
- **Red flags:** Aggressive capacity additions into a downcycle, freight ratio rising, dependence on purchased limestone, or realization falling faster than costs.

# 16. Oil and Gas

**At a glance.** Oil & gas spans the value chain: upstream (exploration & production), downstream (refining & marketing), and gas transmission and distribution (pipelines and city gas). Each segment has its own KPIs. Listed leaders: upstream — ONGC, Oil India; refining/marketing — Reliance, BPCL, HPCL, IOC; gas — GAIL, IGL, MGL, Gujarat Gas; city gas — Indraprastha Gas, Mahanagar Gas.

## The KPIs — Upstream (E&P)

**Crude realization ($/barrel)** — the price received for produced crude.

*Why it matters:* Upstream revenue is `production × price`. Realization tracks global crude with some discount (Indian crude is often sold at a small discount to Brent).

*How to read:* Read realization with production. Rising crude = revenue tailwind; the company has little control over price, so judge it on production and costs.

*Source:* Quarterly results and PPAC (https://www.ppac.gov.in).

**Production volume (oil & gas)** — barrels/units produced.

*Why it matters:* The volume engine. Declining mature fields are the sector's secular challenge.

*How to read:* Watch production trends vs guidance; a field entering decline without new discoveries is a long-run negative.

*Source:* Quarterly results.

## The KPIs — Refining & Marketing

**Gross Refining Margin (GRM, $/barrel)** — the refining spread: `value of refined products − cost of crude`, before the refinery's operating costs (which is why it differs from a net refining margin).

*Why it matters:* GRM is the profitability engine of a refiner — a measure of how much value the refinery adds per barrel. It is set by global product spreads (diesel/gasoline crack spreads) and the refinery's complexity.

*How to read:* Complex refineries (like Reliance's) sustain structurally higher GRM. Track GRM against the Singapore benchmark margin. Falling GRM = weak product demand or oversupply.

*Source:* Quarterly results and management commentary.

**Throughput and capacity utilization** — crude processed relative to capacity.

*Why it matters:* Refineries run near full capacity; throughput drives revenue and spreads fixed costs.

*How to read:* Above 95–100% is normal. Turnarounds (planned maintenance) temporarily lower throughput — distinguish these from demand-driven cuts.

*Source:* Quarterly results and PPAC.

**Inventory gains/losses** — the effect of crude-price moves on the value of stock in hand.

*Why it matters:* When crude rises, refiners book inventory gains; when it falls, losses. These are *non-operating* and distort quarterly profits.

*How to read:* Always strip inventory gains/losses to see the *underlying* GRM. A quarter boosted only by inventory gains is lower-quality.

*Source:* Management commentary on concalls.

**Marketing margin and retail volumes** — the margin and volume on fuel retailing (petrol/diesel sales).

*Why it matters:* Marketing margins are administered and cyclical; retail volumes track economic activity and vehicle usage.

*How to read:* Watch retail volume growth as a demand proxy, and margin stability (which can be compressed when the government freezes retail prices while crude rises).

*Source:* PPAC and quarterly results.

## The KPIs — Gas / City Gas Distribution

**Gas transmission volume and utilization** — gas transported through pipelines.

*Why it matters:* GAIL and pipeline players earn on volume through their network; utilization reflects network efficiency.

*How to read:* Watch volume growth and the mix of domestic vs imported (LNG) gas — LNG is pricier and its availability drives costs.

*Source:* Quarterly results and PPAC.

**CNG / PNG volumes and connections** — compressed natural gas (vehicles) and piped natural gas (households) sold.

*Why it matters:* City gas distributors (IGL, MGL) grow by adding CNG stations and PNG household connections; volumes are the top line.

*How to read:* Track CNG volume (tied to vehicles) and PNG connections (tied to new construction). Watch the spread between the gas cost and selling price — city gas margins are partly regulated.

*Source:* Quarterly results and PNGRB data.

## Healthy profile vs red flags

- **Healthy:** Upstream — stable or rising production, cost control. Refining — high GRM, near-full throughput. Gas — volume and connection growth with stable margins.
- **Red flags:** Relying on inventory gains for profit, falling throughput, declining field production, or margin compression from price regulation.

# 17. Chemicals and Petrochemicals

**At a glance.** Chemicals divides into commodity chemicals (price-takers, driven by global spreads) and specialty chemicals (differentiated, driven by product mix and customer relationships). India's specialty-chemical sector has been a multi-year structural growth story on the "China+1" sourcing shift. Listed leaders: specialty — SRF, Aarti Industries, Vinati Organics, Deepak Nitrite, Navin Fluorine; commodity — Tata Chemicals, UPL (also agrochemicals, see its chapter), Deepak Fertilisers.

## The KPIs

**Product mix — specialty vs commodity share** — the split of revenue.

*Why it matters:* Specialty products carry higher, more stable margins and customer stickiness; commodity products are cyclical and margin-thin. The mix determines the quality of the business.

*How to read:* A rising specialty share is a structural upgrade. Compare across peers in the *same* chemistry.

*Source:* Annual report and quarterly presentation.

**Capacity utilization** — output as a % of installed capacity.

*Why it matters:* Chemical plants are capital-intensive and continuous; utilization drives operating leverage.

*How to read:* Above 80% is healthy. Watch utilization alongside announced capex — new capacity that is not absorbed compresses margins.

*Source:* Quarterly presentation and annual report.

**Capex pipeline and project execution** — planned and ongoing capacity expansion.

*Why it matters:* Specialty-chemical growth is built project-by-project. The capex pipeline is the visible future growth; execution (on-time, on-budget) determines returns.

*How to read:* Track announced projects, their timelines and cost overruns. A firm with a deep project pipeline and a clean execution record compounds best.

*Source:* Annual report and concall.

**Spread (product price − raw-material cost)** — the margin spread for commodity products.

*Why it matters:* For commodity chemicals, the *spread* is the profit; it is driven by global supply-demand. Tracking the spread separates the company's cost skill from market luck.

*How to read:* Watch the spread trend for the key product (e.g., soda ash, caustic). A widening spread = favourable cycle; a narrowing spread compresses margins.

*Source:* Industry price trackers and management commentary.

**Export share and customer diversification** — revenue from exports and the customer base.

*Why it matters:* Specialty-chemical growth is export-led (global pharma/agro clients). Export share reflects global competitiveness, and customer diversification reduces concentration risk.

*How to read:* Rising export share with stable margins = gaining global share. Watch customer concentration — a few large customers is a risk if one shifts sourcing.

*Source:* Annual report.

**EBITDA margin** — profitability (specialty margins are structurally higher than commodity).

*Why it matters:* It separates the quality of the franchise. Specialty players sustain 18–28% EBITDA margins; commodity players swing with the cycle.

*How to read:* A specialty firm whose margin keeps *rising* is likely improving mix or scale; a commodity firm's margin tells you where you are in the cycle.

*Source:* **Screener.in** and quarterly results.

## Healthy profile vs red flags

- **Healthy:** Rising specialty mix, high utilization, deep well-executed capex pipeline, diversified customers.
- **Red flags:** Commodity spread narrowing without cost relief, project delays/cost overruns, customer concentration, or capacity added into a downcycle.

# 18. Textiles

**At a glance.** Textiles runs the full chain — fibre → yarn → fabric → garments — plus the branded/apparel end. India is a major cotton producer, giving it raw-material integration, and the industry is a large employer and exporter. Drivers are cotton prices, global apparel demand, and the shift of sourcing from China. Listed leaders include Arvind, Welspun, Vardhman Textiles, KPR Mill, Trident, and apparel plays like Raymond, Page Industries, and Aditya Birla Fashion and Retail.

## The KPIs

**Cotton price and inventory** — the raw-material cost and the stock carried.

*Why it matters:* Cotton is the dominant input and swings wildly. Companies that carry cotton inventory make or lose money on inventory valuation, separate from the operating business.

*How to read:* Watch the cotton-price trend and the company's inventory position. A rising cotton price inflates inventory value (one-time gains) but raises future input cost; falling cotton is the reverse. Strip inventory effects to see the operating margin.

*Source:* Quarterly results and Textile Ministry / industry data.

**Capacity utilization** — spinning/weaving output relative to capacity.

*Why it matters:* Textiles is fixed-cost heavy (spindles, looms); utilization drives margins.

*How to read:* Above 80% is healthy. Sustained low utilization signals weak demand or overcapacity.

*Source:* Quarterly presentation.

**Order book and export share** — forward orders and the share of revenue from exports.

*Why it matters:* Export orders (home textiles, garments) are the growth engine, and the order book gives visibility. Export share reflects global competitiveness.

*How to read:* Watch the order-book trend (especially home-textile exporters to the US) and the export/domestic mix. A rising export share with stable margins = gaining global share.

*Source:* Quarterly presentation and annual report.

**Product mix — yarn vs fabric vs garments, and value-added share** — the position in the value chain.

*Why it matters:* Each rung up the chain (yarn → fabric → garments) adds margin and stability. Branded garments are the highest-value end.

*How to read:* A firm moving up the value chain (more garments, more branded) is structurally improving its margin profile. Pure commodity yarn players have the thinnest, most cyclical margins.

*Source:* Annual report.

**Realization per unit** — average price per kg/metre of output.

*Why it matters:* It reflects product mix and pricing power.

*How to read:* Read realization with cotton cost (the spread). A stable spread with rising volume is the healthy signature.

*Source:* Quarterly results.

**For branded/apparel — store count, SSSG, brand strength** — the retail metrics of the branded end.

*Why it matters:* Branded apparel is a retail business; same-store sales and distribution drive it (see the Retail chapter).

*How to read:* Positive SSSG, expanding store/distribution network, and stable brand positioning are the key signals.

*Source:* Quarterly results and annual report.

## Healthy profile vs red flags

- **Healthy:** Cotton inventory managed well, high utilization, rising value-added/garment share, growing export order book.
- **Red flags:** Inventory losses from cotton swings, low utilization, dependence on a single export market, or a stuck-at-commodity-yarn position with no value-chain move.

# 19. Capital Goods and Engineering

**At a glance.** Capital goods companies build the machines and equipment that other industries use — power equipment, industrial machinery, switchgear, defence, and more. The business is order-book-driven and cyclical, tied to the private and government capex cycle. Listed leaders include Siemens, ABB India, L&T, Thermax, Cummins, CG Power, and Bharat Electronics.

## The KPIs

**Order book** — the total value of orders yet to be executed (the backlog).

*Why it matters:* The order book is the *future revenue*. It gives multi-quarter visibility and is the single most-watched number in the sector.

*How to read:* A rising order book = revenue growth ahead. Watch the *quality* of the book (mix of slow government vs fast private orders) and whether it is executable.

*Source:* Quarterly results (companies disclose order book and inflows).

**Order inflows and book-to-bill ratio** — new orders won in the period, and `inflows ÷ revenue` for the period.

*Why it matters:* Inflows are the leading indicator; book-to-bill tells you whether the backlog is growing (>1) or shrinking (<1).

*How to read:* A sustained book-to-bill above 1 means the backlog is expanding. A few weak inflow quarters warn of slower revenue two to four quarters out.

*Source:* Quarterly results.

**Execution and working capital** — how fast the backlog converts to revenue, and the cash tied up in the process.

*Why it matters:* Capital goods projects are lumpy and payment terms are back-ended; execution speed and working-capital discipline determine cash conversion.

*How to read:* Watch receivable days and retention money. A rising receivable day count or stuck retention money flags collection problems, especially with government clients.

*Source:* **Screener.in** and annual report.

**EBITDA margin and project mix** — profitability and the type of work (product vs project, private vs government).

*Why it matters:* Product businesses carry higher margins than lumpy projects; government orders are often lower-margin and slower-paying.

*How to read:* Compare margins with the project mix. A shift toward products/private orders is margin-accretive. Watch for margin compression from competitive bidding on large tenders.

*Source:* Quarterly results and annual report.

**Tender wins / competitive intensity** — the firm's win rate on large contracts.

*Why it matters:* Winning the right tenders at the right price is the business; aggressive bidding to win (and then seeing margins erode) is the classic value-destroyer.

*How to read:* Watch margin trends *after* large tender wins — if wins come with falling margins, the firm is buying growth.

*Source:* Order announcements and concall.

## Healthy profile vs red flags

- **Healthy:** Rising order book and inflows, book-to-bill above 1, disciplined working capital, margins holding.
- **Red flags:** Book-to-bill below 1 for multiple quarters, rising receivables, margin erosion on new wins, or over-reliance on slow-paying government orders.

# 20. Construction and Infrastructure (EPC)

**At a glance.** Engineering, Procurement and Construction (EPC) companies build the roads, bridges, metros, ports and buildings of the economy. The business is lumpy, debt-heavy and working-capital-intensive, driven by government infrastructure spending. Listed leaders include L&T, IRB Infrastructure, KEC International, NCC, PNC Infratech, and Dilip Buildcon (with peers in roads via asset-heavy HAM models).

## The KPIs

**Order book and order inflows** — backlog and new wins (same as capital goods, but even more central here).

*Why it matters:* For an EPC company, the order book is everything — it is the visible future revenue and the base for everything else.

*How to read:* Watch book-to-bill (>1 = growing backlog) and the *composition* (roads vs buildings vs metros vs water). Government budget cycles drive inflows.

*Source:* Quarterly results.

**Project mix — HAM vs EPC vs BOT** — the contract model split.

*Why it matters:* The model determines risk. Pure EPC is asset-light (build, get paid); Hybrid Annuity Model (HAM) adds a smaller equity stake and annuity payments; Build-Operate-Transfer (BOT) is asset-heavy and traffic-risk-exposed.

*How to read:* A shift toward asset-light EPC reduces balance-sheet risk; a heavy BOT/HAM portfolio ties up capital and leverage. The trade-off is that asset-light firms give up the long-run annuity or toll income that asset-heavy ones keep.

*Source:* Annual report and investor presentations.

**Working capital and receivable days** — cash tied up in projects and unpaid bills.

*Why it matters:* EPC is chronically working-capital-hungry — clients (often government) pay slowly. Receivable and unbilled-revenue days are the health of the cash cycle.

*How to read:* Rising receivable days or growing unbilled revenue (work done but not yet billable) is the classic early warning of stress in EPC.

*Source:* **Screener.in** and annual report.

**Debt / leverage** — the debt burden.

*Why it matters:* EPC companies borrow to fund working capital and equity commitments; over-leveraging has broken many EPC firms in downcycles.

*How to read:* Watch net debt and interest coverage. A rising debt load against a flat order book is a red flag. Asset-light models should keep leverage low.

*Source:* **Screener.in** and annual report.

**Execution run-rate** — the pace at which the backlog is being converted to revenue.

*Why it matters:* Order books are only valuable if they execute. Slow execution delays revenue and, in HAM/BOT, delays the return of capital.

*How to read:* Compare quarterly revenue to the order book (implied execution period). A lengthening execution cycle flags project delays.

*Source:* Quarterly results.

**Margin and arbitration/slow-moving orders** — profitability and the quality of the backlog.

*Why it matters:* Old, slow-moving or disputed orders (arbitration, stalled land acquisition) sit in the book but don't convert to cash — they inflate the book and hide weak real demand.

*How to read:* Discount the slow-moving portion of the book. A book with a high share of old/stalled orders is lower quality than it looks.

*Source:* Annual report (ageing of order book) and concall.

## Healthy profile vs red flags

- **Healthy:** Growing book with a book-to-bill above 1, asset-light mix, disciplined receivables, low leverage.
- **Red flags:** Growing receivables and unbilled revenue, rising debt, slow-moving/stalled orders, or an order book concentrated in one state/sector.

# 21. Power and Utilities

**At a glance.** Power splits into generation (thermal, hydro, renewables), transmission, and distribution. It is a regulated, capital-intensive utility business with steady but low-return economics — the quality of the franchise depends on fuel security, offtake agreements and payment discipline from state discoms. Listed leaders: generation — NTPC, Tata Power, Adani Power, JSW Energy; transmission — Power Grid; distribution/utilities — Torrent Power, CESC; renewables — NTPC Green, Adani Green (ReNew is listed in the US, not on NSE/BSE).

## The KPIs

**Plant Load Factor (PLF)** — actual generation as a % of maximum possible generation.

*Why it matters:* PLF is the utilization metric of a power plant — the single most important number for generation economics.

*How to read:* Thermal PLFs of 60–85% are typical; anything sustained below ~55% signals weak offtake. Watch PLF trends with fuel availability. Renewable plants report **CUF (Capacity Utilization Factor)** instead.

*Source:* CEA (https://cea.nic.in) and quarterly results.

**Installed capacity and capacity mix** — total generation capacity and the thermal/hydro/renewable split.

*Why it matters:* The mix determines the growth story — renewables are the structural growth driver; thermal faces the energy-transition overhang.

*How to read:* Watch renewable capacity additions and the share of regulated vs merchant capacity (merchant = market-price exposure).

*Source:* CEA and quarterly results.

**Fuel cost and fuel security** — the cost and assured supply of coal/gas.

*Why it matters:* Fuel is the largest cost for thermal plants; assured fuel (captive mines, long-term coal linkages) is the moat.

*How to read:* Watch coal linkage and captive-mine coverage. Plants dependent on expensive imported coal are margin-vulnerable.

*Source:* Quarterly results and MD&A.

**Realization per unit and PPA vs merchant mix** — the price received per kWh and the share of power sold under long-term Power Purchase Agreements vs the open market.

*Why it matters:* PPAs give stable, regulated returns; merchant power earns market (volatile) rates. The mix determines risk and return.

*How to read:* A high PPA share = stable cash flows; a high merchant share = cyclical upside and risk. Watch the average realization per unit.

*Source:* Quarterly results.

**Receivables from discoms (dues)** — money owed by state distribution companies.

*Why it matters:* State discoms are chronically slow payers; ballooning dues are the sector's structural risk and a major cash-flow drag.

*How to read:* Watch the level and age of discom receivables. Rising, ageing dues are a red flag even when the plant is profitable on paper.

*Source:* PRAAPTI portal (Ministry of Power) and quarterly results.

**AT&C losses and collection efficiency (distribution)** — Aggregate Technical & Commercial losses and the share of billed amount collected.

*Why it matters:* For distribution utilities, AT&C losses (theft + technical + billing inefficiency) and collection efficiency determine profitability.

*How to read:* Falling AT&C losses and rising collection efficiency are the turnaround signature of a distribution franchise. National averages have historically been ~15–20% AT&C losses.

*Source:* UDAY/PRAAPTI portal and quarterly results.

## Healthy profile vs red flags

- **Healthy:** High PLF/CUF, secure fuel, high PPA share, low/falling discom dues.
- **Red flags:** Falling PLF, merchant-heavy with volatile fuel, ballooning discom receivables, or high AT&C losses in distribution.

# 22. Logistics and Transport

**At a glance.** Logistics moves goods — road, rail, sea (ports), and multimodal. The sector is a proxy for economic activity, fragmented and thin-margin, but consolidating into organized players. Drivers are trade volumes, fuel costs and modal shift (road → rail). Listed leaders include Container Corporation (CONCOR), Delhivery, Blue Dart, TCI, Gateway Distriparks, and Adani Ports (ports, see below).

## The KPIs

**Volume growth (tonnes / containers / parcels)** — the physical throughput.

*Why it matters:* Logistics is a volume business; throughput is the top line, and it tracks economic activity directly.

*How to read:* Watch volume growth by segment (EXIM containers, domestic parcels, bulk). Compare with GDP/IIP and trade data for context.

*Source:* Quarterly results and industry data (e.g., major port traffic via the Ministry of Ports).

**Freight rates / realization per unit** — the price charged per unit moved.

*Why it matters:* Realization reflects pricing power and the competitive environment (which is intense in road logistics).

*How to read:* Watch the volume × rate mix. A firm holding rates while growing volume has pricing power; falling rates signal a price war.

*Source:* Quarterly results.

**Fleet size and utilization** — the number of vehicles/containers and how hard they are worked.

*Why it matters:* Fleet utilization drives operating leverage in an asset-heavy business.

*How to read:* Higher utilization (more trips/turns per vehicle, or higher container rail-coefficient) = better returns on the fleet.

*Source:* Annual report.

**Fuel cost as % of revenue** — the dominant variable cost.

*Why it matters:* Diesel is the biggest cost in road logistics; the ability to pass through fuel price hikes is pricing power.

*How to read:* A stable fuel-cost ratio through a diesel-price spike = good pass-through. A firm that can't pass fuel costs on sees margins compress.

*Source:* Quarterly results and annual report.

**EXIM vs domestic mix and modal mix** — the composition of business.

*Why it matters:* EXIM (export-import) business is steadier and often better-margined; domestic is fragmented and price-competitive. Modal mix (road vs rail vs multimodal) affects cost structure.

*How to read:* A rising EXIM share is generally positive. Watch the shift toward rail/multimodal (lower cost, more sustainable).

*Source:* Annual report.

**For ports — cargo volume, capacity utilization, and mix** — throughput and the cargo split (containers vs bulk vs liquid).

*Why it matters:* Ports are toll-booths on trade; volume and utilization drive revenue, and the mix drives margins (liquid/container higher than bulk).

*How to read:* Watch cargo volume growth vs port capacity, and the shift toward higher-margin cargo.

*Source:* Quarterly results and Ministry of Ports data.

## Healthy profile vs red flags

- **Healthy:** Volume growth above economic activity, stable or rising realization, high fleet utilization, good fuel pass-through.
- **Red flags:** Volume growth without profit (price war), falling realization, low utilization, or fuel costs that can't be passed through.

# 23. Aviation

**At a glance.** Aviation is a brutally capital-intensive, fuel-exposed, competition-prone business — India's market is effectively a duopoly between IndiGo (InterGlobe Aviation) and the Air India group (with SpiceJet and Akasa smaller). The KPIs are the classic airline unit-economics metrics. Listed leader: InterGlobe Aviation (IndiGo).

## The KPIs

**ASK (Available Seat Kilometres)** — total capacity deployed ( `seats × kilometres flown` ).

*Why it matters:* ASK is the supply side — the scale of the operation.

*How to read:* Watch ASK growth as the capacity story; airlines grow by adding planes and routes.

*Source:* DGCA (https://www.dgca.gov.in) monthly traffic data and quarterly results.

**RPK (Revenue Passenger Kilometres)** — `passengers × kilometres flown` . The demand side.

*Why it matters:* RPK measures paid demand. Growth in RPK relative to ASK determines load factor.

*Source:* DGCA and quarterly results.

**Passenger Load Factor (PLF)** — `RPK ÷ ASK` . How full the planes are.

*Why it matters:* Load factor is the single most watched operational metric — it shows whether capacity is being absorbed by demand.

*How to read:* Indian carriers run 85–90%+ load factors. A falling load factor (while ASK grows) means capacity is outpacing demand and fares will weaken.

*Source:* DGCA monthly data and quarterly results.

**Yield (₹/RPK)** — revenue per passenger-kilometre (the average fare).

*Why it matters:* Yield is the pricing metric. Load factor × yield = unit revenue (RASK).

*How to read:* Watch the load-factor/yield trade-off: airlines can fill planes by cutting fares (higher load, lower yield) or hold fares (lower load, higher yield). The best outcome is both rising.

*Source:* Quarterly results.

**CASK (Cost per ASK) and RASK (Revenue per ASK)** — unit cost and unit revenue; the margin per seat-kilometre is `RASK − CASK` .

*Why it matters:* These two unit metrics are the entire economics of an airline. Profitability is purely RASK beating CASK.

*How to read:* Watch the spread between RASK and CASK. CASK is dominated by fuel (a third or more) and is heavily exposed to crude and the rupee.

*Source:* Quarterly results.

**Fuel cost and fleet size/utilization** — the dominant cost and the aircraft assets.

*Why it matters:* Fuel is the swing factor in CASK. Fleet utilization (aircraft hours per day) drives cost per seat.

*How to read:* Higher fleet utilization lowers unit costs. Watch crude and rupee as the exogenous drivers of fuel CASK.

*Source:* Quarterly results and DGCA.

**Market share and on-time performance** — competitive position and service quality.

*Why it matters:* Market share shows who is winning the duopoly; on-time performance drives passenger preference and repeat business.

*How to read:* IndiGo has held ~60%+ domestic share; watch share shifts and punctuality as the competitive scoreboard.

*Source:* DGCA monthly traffic data.

## Healthy profile vs red flags

- **Healthy:** Load factor 85%+, RASK rising faster than CASK, high utilization, share stable or rising.
- **Red flags:** ASK growth far above RPK growth, falling load factor, fuel spike without fare pass-through, or RASK falling below CASK.

# 24. Telecom

**At a glance.** Telecom is an oligopoly of three private players (Reliance Jio, Bharti Airtel, Vodafone Idea) plus BSNL. After a brutal price war, the industry has consolidated and is now in a period of tariff repair. The business is a subscription + data game with heavy spectrum capex. Listed leaders: Bharti Airtel, Vodafone Idea (and Reliance Industries as the parent of Jio).

## The KPIs

**ARPU (Average Revenue Per User)** — monthly revenue per subscriber.

*Why it matters:* ARPU is the pricing barometer of the entire industry. Every rupee of ARPU growth drops almost directly to the bottom line (the cost base is largely fixed).

*How to read:* Indian ARPU bottomed near ₹120 around FY20 and has since been repaired through tariff hikes and the shift to 4G/5G; current levels differ by operator, so check the latest quarter's figure rather than a fixed number. Watch the ARPU trend, and the mix (2G → 4G/5G upgrade) that drives it.

*Source:* TRAI (https://www.trai.gov.in) and quarterly results.

**Subscriber base — gross adds, net adds, churn** — customers gained, net change, and those leaving.

*Why it matters:* Subscribers are the installed base; churn shows competitive intensity and service quality.

*How to read:* Watch net adds (gross minus churn) and the churn rate (typically 2–3% monthly). High churn = weak retention.

*Source:* TRAI and quarterly results.

**Data consumption per user (GB/user/month)** — usage intensity.

*Why it matters:* Data is the growth driver; rising consumption supports ARPU and network monetization.

*How to read:* Rising data per user with stable ARPU is the classic 4G/5G upgrade story.

*Source:* TRAI and quarterly results.

**4G/5G subscriber mix and spectrum holdings** — the technology mix and spectrum assets.

*Why it matters:* 5G is the next capex cycle; the subscriber mix shows upgrade progress, and spectrum holdings determine network quality and future obligations.

*How to read:* Watch 5G subscriber conversion and the spectrum-liability (deferred spectrum dues) burden on the balance sheet.

*Source:* Quarterly results and TRAI.

**Capex intensity** — capital spending on network rollout relative to revenue.

*Why it matters:* Telecom is capex-heavy (towers, spectrum, fibre); capex intensity determines free-cash-flow generation and leverage.

*How to read:* Falling capex intensity after a rollout cycle means free cash flow improves; a rising intensity (5G rollout) is a near-term cash drag.

*Source:* Quarterly results and annual report.

**For tower companies — tenancy ratio and tower count** — the number of tenants per tower (e.g. Indus Towers, in which Bharti Airtel is the largest shareholder).

*Why it matters:* Tenancy ratio (tenants per tower) is the margin lever for tower companies — each additional tenant adds revenue at near-zero marginal cost.

*How to read:* Rising tenancy ratio and stable tower count = operating leverage. Watch tenant concentration (dependence on a single operator like VIL is a receivable risk).

*Source:* Quarterly results.

## Healthy profile vs red flags

- **Healthy:** Rising ARPU, stable net adds, low churn, rising data usage, falling capex intensity after rollout.
- **Red flags:** ARPU falling (price war), high churn, subscriber loss, or ballooning spectrum/capex obligations without ARPU support.

# 25. Realty (Real Estate)

**At a glance.** Real estate developers buy land, build residential/commercial projects, and sell units — often over multi-year cycles. The business is cash-flow-hungry and balance-sheet-sensitive; the key is pre-sales and collections, not accounting profit. RERA and consolidation have strengthened the organized players. Listed leaders include DLF, Godrej Properties, Prestige Estates, Macrotech (Lodha Developers), Oberoi Realty, and Sobha.

## The KPIs

**Pre-sales / bookings value (₹ crore)** — the value of units sold in a period (bookings).

*Why it matters:* Pre-sales is the *real* top line of a developer — it is demand and pricing power captured at the point of sale, and it precedes revenue recognition by years.

*How to read:* Watch pre-sales growth quarter-on-quarter and against guidance. This is the single most important number in the sector.

*Source:* Quarterly results and investor presentations.

**Launches vs sales (sell-through)** — new inventory launched vs sold.

*Why it matters:* The balance of launches and sales shows whether the developer is over-supplying or matching demand. A high sell-through rate = strong demand absorption.

*How to read:* Watch the sell-through ratio (sales ÷ launches). Healthy markets show high sell-through; a glut of launches that don't sell flags demand weakness.

*Source:* Quarterly presentation.

**Average realization (₹/sq ft)** — the average selling price per square foot.

*Why it matters:* Realization reflects the price mix (location and product) and pricing power.

*How to read:* Watch realization trends with volume — rising realization with rising volume is the ideal (premiumization plus demand).

*Source:* Quarterly presentation.

**Unsold inventory and inventory months** — stock of unsold units and how many months of sales it represents.

*Why it matters:* Unsold inventory is the overhang — capital tied up and price pressure. Inventory months normalizes it against the sales rate.

*How to read:* Falling inventory months = improving market. High inventory months (24+) signals a slow market and pricing pressure.

*Source:* Quarterly presentation and industry trackers (Anarock/PropEquity).

**Collection efficiency and operating cash flow** — collections from customers and cash generation.

*Why it matters:* Developers collect from customers over the construction period (construction-linked plans); collections are the cash engine, and delays kill cash flow.

*How to read:* Watch collections vs bookings (collection efficiency). Strong collections fund construction without new debt.

*Source:* Quarterly results.

**Project pipeline and land bank** — the future launch potential and land reserves.

*Why it matters:* The pipeline is the growth runway; the land bank (at what cost, where) determines future margins.

*How to read:* Watch the pipeline of upcoming launches and the cost/quality of the land bank. Overpriced land banks are a margin trap.

*Source:* Annual report and investor presentations.

**Debt / net debt** — the leverage (including construction finance).

*Why it matters:* Real estate is the classic leverage-failure sector; debt-funded land banks broke many developers in the last downcycle.

*How to read:* Low net debt, falling leverage, and debt serviced from collections rather than new borrowings indicate a sturdier balance sheet. Watch interest coverage.

*Source:* **Screener.in** and annual report.

## Healthy profile vs red flags

- **Healthy:** Pre-sales compounding, high sell-through, rising realization, strong collections, low leverage.
- **Red flags:** Launches far exceeding sales, falling collections, rising unsold inventory, or a debt-funded land bank.

# 26. Hotels and Tourism

**At a glance.** Hotels are the ultimate fixed-cost operating-leverage business: rooms, food & beverage (F&B), and banquets. Revenue per available room drives everything, and the industry is highly cyclical (tied to travel, business and tourism) but enjoys strong pricing power in upcycles. Listed leaders include Indian Hotels (Taj), EIH (Oberoi), Chalet, Lemon Tree, and Mahindra Holidays.

## The KPIs

**Occupancy rate** — the percentage of available rooms sold.

*Why it matters:* Occupancy is the volume metric of a hotel; with fixed costs, small occupancy changes drive large profit swings.

*How to read:* Indian branded hotels run 65–75% occupancy in good times. Compare with peers in the same city/segment.

*Source:* Quarterly results and industry trackers (HVS/STR).

**ARR (Average Room Rate)** — revenue per *occupied* room per night.

*Why it matters:* ARR is the pricing metric. It reflects brand positioning and pricing power.

*How to read:* Watch ARR trends with occupancy. A hotel that can raise ARR while holding occupancy has genuine pricing power.

*Source:* Quarterly results.

**RevPAR (Revenue Per Available Room)** — `Occupancy × ARR`, or `room revenue ÷ available rooms`. The master metric.

*Why it matters:* RevPAR combines occupancy and rate into the single number that drives room profitability — the most important KPI in hotels.

*How to read:* Rising RevPAR is the core positive signal; read whether it is driven by occupancy (volume) or ARR (price). Watch RevPAR against the pre-COVID peak for recovery tracking.

*Source:* Quarterly results (companies disclose RevPAR or its components).

**Room inventory and pipeline** — total rooms and rooms under development.

*Why it matters:* Hotels grow by adding rooms (owned or managed). The pipeline is the growth runway.

*How to read:* Watch room additions and the owned vs managed mix — asset-light (management contracts) is higher-return.

*Source:* Annual report.

**F&B and banquet revenue share** — revenue beyond rooms.

*Why it matters:* F&B and banquets/MICE (meetings, incentives, conferences, events) are the second revenue engine and can be higher-margin.

*How to read:* A rising F&B/banquet share diversifies revenue and boosts RevPAR-equivalent (total revenue per room).

*Source:* Annual report.

**Market mix — leisure vs business vs MICE** — the customer split.

*Why it matters:* Business and MICE travel is higher-yield; leisure is seasonal. The mix shapes revenue stability and pricing.

*How to read:* Watch the shift (e.g., post-COVID leisure-led recovery) and seasonality.

*Source:* Management commentary.

**EBITDA margin** — profitability (the operating-leverage output).

*Why it matters:* Hotel EBITDA margins expand dramatically in upcycles (operating leverage) — the sector's reward and its risk.

*How to read:* Margins of 30–40%+ at peak contrast with thin/negative margins in downturns. Read margin in the context of the cycle.

*Source:* **Screener.in** and quarterly results.

## Healthy profile vs red flags

- **Healthy:** RevPAR rising, ARR up with stable occupancy, growing room pipeline (asset-light), high EBITDA margin.
- **Red flags:** Occupancy falling, ARR cuts to fill rooms, heavy owned-room capex into a downturn, or thin margins despite high occupancy.

# 27. Agrochemicals and Fertilizers

**At a glance.** This chapter covers two crop-input businesses: fertilizers (urea, DAP, complex — subsidized and regulated) and agrochemicals (crop-protection chemicals — herbicides, insecticides, fungicides). Both are tied to agriculture, monsoons and farmer income. Listed leaders: fertilizers — Coromandel International, Deepak Fertilisers, Chambal, National Fertilizers; agrochemicals — UPL, PI Industries, Dhanuka, Bayer CropScience (the Indian arm of a multinational).

## The KPIs — Fertilizers

**Plant utilization and production volume** — output relative to capacity.

*Why it matters:* Fertilizer plants are capital-intensive; utilization drives cost efficiency.

*How to read:* Watch production vs rated capacity. High utilization = efficiency; sustained low utilization signals feedstock or demand issues.

*Source:* Quarterly results and Ministry of Chemicals & Fertilizers.

**Gas cost and energy efficiency (Gcal/tonne)** — the feedstock cost and energy consumed per tonne of urea.

*Why it matters:* Natural gas is the dominant input for urea; energy efficiency (Gcal/tonne) is the technical moat, and gas cost is administered partly by government.

*How to read:* Lower energy consumption per tonne = better efficiency. Watch gas cost (pooled gas pricing) as the input driver.

*Source:* Annual report and industry data.

**Subsidy receivables** — money owed by the government on subsidized sales.

*Why it matters:* Urea and some fertilizers are sold at subsidized prices; the government reimburses the subsidy — but often late. Subsidy receivables are the cash-flow overhang.

*How to read:* Watch the level and ageing of subsidy receivables. Ballooning dues = working-capital strain even when the P&L looks healthy.

*Source:* Quarterly results.

**Urea vs non-urea (DAP/complex) mix** — the product split.

*Why it matters:* Urea is heavily regulated and low-margin; non-urea (DAP, complexes) and value-added products carry better economics.

*How to read:* A rising share of non-urea/complex and value-added (specialty) products is margin-positive.

*Source:* Quarterly presentation.

## The KPIs — Agrochemicals

**Revenue growth and monsoon dependence** — the weather-driven demand.

*Why it matters:* Agrochemical demand tracks the monsoon and crop acreage. A weak monsoon directly hits volumes.

*How to read:* Read a quarter against the monsoon performance and acreage. Weather is the exogenous driver; the company's job is to grow regardless via new products and exports.

*Source:* Quarterly results and IMD (monsoon) data.

**Product mix — herbicide/insecticide/fungicide** — the crop-protection split.

*Why it matters:* Different products have different margins and growth. Herbicides have been the fastest-growing segment; fungicides are higher-value.

*How to read:* Watch the mix shift toward higher-growth/higher-margin segments and the launch of new molecules.

*Source:* Annual report.

**New molecule launches and R&D** — the product pipeline.

*Why it matters:* Agrochemicals face generic competition; new patented/off-patent molecules and formulations are the growth and margin defence.

*How to read:* A steady cadence of new launches (with the R&D to back it) = sustainable growth. Watch the R&D-to-sales ratio.

*Source:* Annual report and investor presentations.

**Export share and capacity utilization** — the global business and plant usage.

*Why it matters:* Leading agrochemical firms (UPL, PI Industries) are global; exports diversify monsoon risk. Capacity utilization drives margins.

*How to read:* Rising export share with stable margins = global competitiveness. Watch the China-competition dynamic.

*Source:* Annual report and quarterly results.

## Healthy profile vs red flags

- **Healthy:** High utilization, energy-efficient plants, growing non-urea/value-added share, new molecule launches, low subsidy-receivable overhang.
- **Red flags:** Ballooning subsidy receivables, over-dependence on monsoon, thin product pipeline, or rising China generic competition eroding margins.

# 28. Media and Entertainment

**At a glance.** Media spans broadcasting (TV), print, digital/OTT, and exhibition (multiplexes). The sector is undergoing a secular shift from traditional (TV/print, ad-funded) to digital (subscription + advertising), with a parallel debate over content cost and the advertising cycle. Listed leaders include Zee Entertainment, Sun TV, PVR INOX, and (indirectly) network/content players like Network18, TV Today, and DB Corp (print).

## The KPIs — Broadcasting & OTT

**Subscription revenue vs advertising revenue mix** — the two revenue streams.

*Why it matters:* Subscription is stickier and more predictable; advertising is cyclical (tied to the economy and ad budgets). The mix determines revenue stability.

*How to read:* Watch the shift toward subscription and digital. Ad-revenue downturns are the classic cyclical headwind.

*Source:* Quarterly results.

**Viewership share (BARC ratings)** — the audience share of a channel.

*Why it matters:* Viewership drives advertising rates; share is the competitive scoreboard for broadcasters.

*How to read:* Watch channel share trends (BARC weekly data) — sustained share loss precedes ad-revenue decline.

*Source:* BARC data (https://www.barcindia.co.in) and company commentary.

**Content cost as % of revenue** — programming investment.

*Why it matters:* Content is the core cost; it drives viewership but over-spending erodes margins. The content-cost ratio is the balancing act.

*How to read:* A rising content cost that *doesn't* improve viewership is value-destructive. Watch the cost per hour and the hit-rate of new shows.

*Source:* Quarterly results and annual report.

**Digital — subscribers, ARPU, and content amortization** — the OTT metrics.

*Why it matters:* OTT is the growth engine; subscribers and ARPU drive revenue, while content amortization policy drives reported profit.

*How to read:* Watch subscriber growth and ARPU. Be aware that aggressive content amortization changes can flatter or depress profits — read cash flows too.

*Source:* Quarterly results.

## The KPIs — Print

**Circulation and advertising revenue** — the two print revenue streams.

*Why it matters:* Print is a secular-decline business in most markets (ad shift to digital), though India's regional/Hindi print has been more resilient. Circulation revenue (cover price) is stickier than ads.

*How to read:* Watch the ad-revenue trend (declining = structural pressure) and cover-price/circulation resilience. Newsprint cost is the key input.

*Source:* Quarterly results.

## The KPIs — Exhibition (Multiplexes)

**Footfalls (admissions)** — the number of movie-goers.

*Why it matters:* Footfalls are the volume metric of a multiplex, driven entirely by the film slate — which is outside the company's control.

*How to read:* Watch footfalls against the film slate (content is the driver). A strong slate = high footfalls; a weak slate = empty halls regardless of execution.

*Source:* Quarterly results (PVR INOX discloses footfalls).

**ATP (Average Ticket Price)** — revenue per ticket.

*Why it matters:* ATP is the pricing metric; it rises with premium formats (IMAX, recliners) and blockbuster pricing.

*How to read:* Watch ATP with footfalls — a rising ATP driven by premium formats is quality; ATP hikes that kill footfalls are self-defeating.

*Source:* Quarterly results.

**SPH (Spend Per Head) — F&B** — food & beverage revenue per visitor.

*Why it matters:* F&B is the high-margin revenue engine (popcorn economics); SPH is the key profitability lever.

*How to read:* Rising SPH (better F&B attach rates) is the highest-quality revenue growth for a multiplex.

*Source:* Quarterly results.

**Screen count and occupancy** — the network and its utilization.

*Why it matters:* Multiplexes grow by adding screens; occupancy shows how well the estate is used.

*How to read:* Watch screen additions and occupancy (mid-teens to ~30% is normal for multiplexes; blockbusters spike it). Compare ATP × footfalls × SPH across players.

*Source:* Quarterly results.

## Healthy profile vs red flags

- **Healthy:** Broadcasting — rising subscription share, stable viewership share, disciplined content cost. Exhibition — rising ATP + SPH + footfalls together.
- **Red flags:** Viewership share loss, ad-revenue decline, content cost spiralling, or footfalls falling despite premium ATP hikes.

# 29. Gems and Jewellery

**At a glance.** Two businesses: jewellery *retail* (organized players selling gold/diamond jewellery to Indian consumers — a brand + trust + inventory game) and diamond *processing/export* (India cuts & polishes most of the world's diamonds). Gold prices drive the first; rough and polished diamond prices and US/China demand drive the second. Listed leaders: retail — Titan (Tanishq), Kalyan Jewellers, Senco Gold; processing — (mostly integrated or private, with few pure listed plays).

## The KPIs — Jewellery Retail

**Same-store sales growth (SSSG)** — revenue growth from existing stores.

*Why it matters:* Jewellery is a store-based retail business (see the Retail chapter); SSSG strips out store additions to show true underlying demand.

*How to read:* Watch SSSG against gold-price moves (gold-price inflation flatters revenue). Real SSSG (volume/value adjusted for gold price) is the honest signal.

*Source:* Quarterly results (Titan and Kalyan disclose SSSG).

**Studded (diamond) vs plain gold mix** — the product split.

*Why it matters:* Studded/diamond jewellery carries higher margins than plain gold. The mix is the margin lever.

*How to read:* A rising studded share is margin-positive. Watch the wedding-driven mix seasonality.

*Source:* Quarterly results and annual report.

**Gold price and inventory (gold on lease)** — the raw-material exposure.

*Why it matters:* Jewellers hold large gold inventory, often funded by gold leases (borrowed gold). Gold-price swings create inventory gains/losses, and lease costs are the funding expense.

*How to read:* Strip gold inventory gains/losses to see the operating margin. Watch the gold-on-lease position (hedged vs unhedged) for price risk.

*Source:* Quarterly results and MD&A.

**Store count and additions** — the retail footprint.

*Why it matters:* Organized jewellery retail is gaining share from unorganized players; store expansion is the growth engine.

*How to read:* Watch store additions and whether SSSG stays positive (healthy expansion) or turns negative (over-expansion).

*Source:* Quarterly results.

## The KPIs — Diamond Processing

**Rough diamond prices vs polished prices** — the input and output prices.

*Why it matters:* The processing margin is the spread between rough (input) and polished (output) prices, both global. A squeeze (rough up, polished down) crushes margins.

*How to read:* Watch the rough/polished spread and global demand (US and China are the buyers). Lab-grown diamonds (LGD) are a structural disruptor to monitor.

*Source:* Industry data (Rapaport and rough-diamond price indexes) and management commentary.

**Export demand and customer mix** — the global order book.

*Why it matters:* India's diamond industry is export-led; demand tracks US/China consumer spending.

*How to read:* Watch export volumes and the customer mix; concentration in one market is a risk.

*Source:* GJEPC (Gem & Jewellery Export Promotion Council) data.

## Healthy profile vs red flags

- **Healthy:** Positive real SSSG, rising studded share, well-hedged gold inventory, disciplined store expansion.
- **Red flags:** Revenue growth flattered only by gold-price inflation, falling studded share, unhedged gold inventory in a volatile market, or negative SSSG on store expansion.

# 30. Sugar and Paper

**At a glance.** Sugar and paper are both agro-processing businesses with cyclical commodity economics. Sugar is uniquely shaped by government policy (cane pricing, exports, ethanol blending); paper rides the packaging and printing cycle. Listed leaders: sugar — Balrampur Chini, Triveni, Dwarikesh, EID Parry; paper — JK Paper, West Coast Paper, Tamil Nadu Newsprint (TNPL), Century.

## The KPIs — Sugar

**Cane crushed and recovery rate** — the volume of sugarcane processed and the sugar extracted per tonne ( `sugar produced ÷ cane crushed` ).

*Why it matters:* Cane crushed is the top line; recovery rate is the technical efficiency. Higher recovery = more sugar (and more revenue) from the same cane.

*How to read:* Watch both. A rising recovery rate is a genuine efficiency moat; falling recovery (crop quality) hurts output.

*Source:* Quarterly results and annual report.

**Sugar realization and cane cost (FRP/SAP)** — the selling price and the administered cane price.

*Why it matters:* The margin is the spread between sugar realization and cane cost, and cane cost is *set by the government* (Fair & Remunerative Price, or State-Advised Price) — the company has no control over it. This is the sector's defining constraint.

*How to read:* Watch the spread. Rising cane prices (SAP) that outpace sugar realization compress margins — the recurring policy risk.

*Source:* Quarterly results and government notifications.

**Ethanol blending and distillery capacity** — the diversification into ethanol.

*Why it matters:* Ethanol (blended into petrol) is the structural growth story and margin stabilizer for sugar mills — it uses cane juice/molasses and is sold at government-set prices. Distillery capacity is the growth asset.

*How to read:* Watch ethanol volumes, distillery capacity additions and the blending target (the 20% "E20" programme, which the government targeted for 2025-26; check the latest achieved blending level and any successor roadmap). Higher ethanol share reduces dependence on cyclical sugar prices.

*Source:* Quarterly results and government (Ministry of Petroleum) data.

**By-product revenue (bagasse, molasses)** — revenue from co-products.

*Why it matters:* Bagasse (for power) and molasses (for ethanol/alcohol) add revenue and stabilize margins.

*How to read:* Watch the co-product contribution; integrated mills with power + distillery are more resilient.

*Source:* Quarterly results.

## The KPIs — Paper

**Capacity utilization and volume** — output relative to capacity.

*Why it matters:* Paper is capital-intensive; utilization drives cost per tonne.

*How to read:* Above 80% is healthy. Watch volume by segment (packaging vs writing & printing).

*Source:* Quarterly results.

**Raw-material cost — wood pulp vs waste paper** — the input cost.

*Why it matters:* Paper's cost is dominated by fibre (wood pulp or recycled waste paper). Waste-paper prices swing with imports; wood cost depends on plantation access.

*How to read:* Watch the input cost trend and whether the firm is backward-integrated into plantations (cost moat).

*Source:* Annual report.

**Realization per tonne and product mix** — the selling price and the segment split.

*Why it matters:* Packaging paper (kraft/board) is the growth, higher-margin segment; writing & printing (W&P) paper is in structural decline (digital shift).

*How to read:* Watch the shift toward packaging and the realization per tonne. A firm stuck in W&P faces secular headwinds.

*Source:* Quarterly results.

## Healthy profile vs red flags

- **Healthy:** Sugar — high recovery, integrated distillery (ethanol), stable spread despite cane costs. Paper — high utilization, backward-integrated fibre, rising packaging share.
- **Red flags:** Sugar — rising SAP squeezing the spread, no distillery diversification. Paper — dependence on W&P paper, unhedged waste-paper imports, low utilization.

# 31. Construction & Infrastructure — Addendum (Roads/Highways)

**At a glance.** This brief addendum sits alongside the EPC chapter for the asset-heavy road developers that build highways under government concessions. The road-asset model (BOT-toll and HAM) has its own KPIs. Listed leaders include IRB Infrastructure (BOT/HAM), and diversified infra players with road portfolios.

## The KPIs

**Toll revenue growth and traffic growth** — revenue from toll collection and vehicle traffic.

*Why it matters:* For a BOT-toll asset, toll revenue is the annuity, and traffic is the underlying driver. Traffic growth tracks economic activity and the corridor's maturity.

*How to read:* Watch traffic (PCUs — passenger car units) growth and toll-rate escalations (linked to inflation). A mature asset with growing traffic and indexed tolls is a compounding annuity.

*Source:* Quarterly results and NHAI data.

**HAM annuity inflows and equity commitment** — the annuity receipts and the equity the developer must fund.

*Why it matters:* Under HAM, the government (NHAI) funds roughly 40% of the project cost during construction and repays the rest, with interest and O&M, as fixed annuities; the developer funds the balance through equity and debt. The annuity is contracted revenue; the developer's equity commitment is the cash burden.

*How to read:* Watch the annuity stream build up and the equity-funding requirement. Over-committing equity to many HAM projects strains the balance sheet.

*Source:* Quarterly results and annual report.

**Asset monetization (InvITs / portfolio sales)** — selling completed road assets to infrastructure investment trusts or buyers.

*Why it matters:* Monetization releases trapped capital, de-levers the balance sheet and is the source of value realization for asset-heavy developers.

*How to read:* Watch monetization events and proceeds — a developer that can build, de-lever and recycle capital creates the most value.

*Source:* Corporate announcements.

## Healthy profile vs red flags

- **Healthy:** Growing toll traffic, indexed tolls, contracted HAM annuity stream, disciplined monetization.
- **Red flags:** Over-committed equity across many projects, stalled land/acquisition delays, or dependence on refinancing to service debt.

# 32. Quick Guide — How to Read Any Operational KPI

A short primer that applies to every KPI in Part II:

1. **Find the unit.** Operational KPIs are always *per unit* — per tonne, per bed, per room, per user, per square foot, per seat-kilometre. Ask "per what?" first; it tells you what the business actually sells.
2. **Separate price from volume.** Almost every operational KPI splits into a *volume* (how much) and a *price/realization* (at what). Read them separately — they can move in opposite directions and tell opposite stories.
3. **Separate market from management.** Some KPIs are set by the market (crude, LME, GRM, load factor) and some by management skill (cost per tonne, recovery rate, energy efficiency). Judge management on the levers it *controls*.
4. **Watch the spread, not just the level.** The margin is the *spread* between two KPIs (realization – cost, RASK – CASK, yield – borrowing cost). A rising spread is the profit signal.
5. **Look at the trend and the peer, not the absolute.** Benchmarks are context, not laws. A KPI is meaningful only against (a) the company's own history, (b) its peers, and (c) the cycle.
6. **Strip one-offs.** Inventory gains/losses (metals, oil, jewellery), subsidy timing (fertilizers), and currency moves (IT) distort operational KPIs — always find the underlying, recurring number.

# Appendix — Master KPI Table and Glossary

## The Master KPI Table

The one-glance summary of what to track in each industry. "Benchmark" is an indicative, typical-range guide, not a threshold or a recommendation — always re-check against the company's own history and its peers.

| Industry | Top operational KPIs to track | Indicative benchmark |
|---|---|---|
| Private Banks | NIM, CASA, GNPA/NNPA, PCR, CRAR, cost-to-income | NIM 3.5–4.5%, CASA 40–50%, net NPA <1%, CRAR ≥15% |
| PSU Banks | RoA, GNPA/NNPA, PCR, credit cost, government stake | RoA ≥0.8% and rising, net NPA ≤2%, PCR ≥70% |
| NBFCs / HFCs | AUM growth, NIM, GNPA/NNPA, cost of funds, collection efficiency, LTV (HFC) | AUM +15%+, net NPA <2%, CRAR ≥20%, LTV <70% |
| Insurance & AMC | VNB/VNB margin, APE, persistency, combined ratio, SIP flows, AUM mix | VNB margin ≥25%, persistency ≥85%, combined <100% |
| IT Services | Constant-currency growth, TCV/order book, utilization, attrition, EBIT margin | Growth ≥8%, utilization 82–87%, EBIT 18–26% |
| Pharma | US/domestic mix, price erosion, ANDA filings, FDA status, chronic mix, R&D % | Chronic mix rising, R&D 6–12%, clean FDA |
| Healthcare Services | ARPOB, occupancy, ALOS, payor mix (hospitals); test volume, realization/test (diagnostics) | Occupancy 65–75%, volume growth + stable realization |
| FMCG | Volume vs value growth, market share, distribution reach, gross margin, A&P % | Volume positive, gross margin resilient |
| Autos & Ancillaries | Volume, market share, capacity utilization, dealer inventory, ASP; content/vehicle (ancillary) | Utilization 80%+, inventory 20–30 days (cars) |
| Consumer Durables | Category volume/share, seasonality, gross margin, inventory days, localization % | Share up, inventory under control |
| Retail | SSSG, revenue/sq ft, store count, inventory turnover, private-label % | SSSG positive, revenue/sq ft rising |
| Metals & Mining | Realization/tonne, EBITDA/tonne, cost/tonne, capacity utilization, LME price | EBITDA/tonne above peer, captive raw material |
| Cement | Capacity utilization, realization/tonne, cost ratios (input/power/freight), clinker factor, mine life | Utilization 70–80%, freight ratio lowest |
| Oil & Gas | Crude realization, GRM, throughput, inventory gains; gas volumes/connections | GRM vs Singapore benchmark, strip inventory gains |
| Chemicals | Specialty vs commodity mix, utilization, capex pipeline, spread, export share | Specialty share rising, spread widening |
| Textiles | Cotton price, utilization, order book, export share, value-chain position | Value-added share rising |
| Capital Goods | Order book, order inflows, book-to-bill, execution, working capital, margin | Book-to-bill >1, receivables disciplined |
| Construction (EPC) | Order book/inflows, project mix (EPC/HAM/BOT), receivables, debt, execution | Book-to-bill >1, low leverage, asset-light |

| Industry | Top operational KPIs to track | Indicative benchmark |
|---|---|---|
| Power & Utilities | PLF/CUF, capacity mix, fuel security, PPA vs merchant, discom receivables, AT&C losses | PLF 60%+, discom dues falling |
| Logistics | Volume, freight rates, fleet utilization, fuel % revenue, EXIM vs domestic | Volume + realization both up |
| Aviation | ASK, RPK, load factor, yield, CASK/RASK, fuel cost, market share | Load factor 85%+, RASK > CASK |
| Telecom | ARPU, subscriber adds/churn, data/user, spectrum, capex intensity | ARPU rising, churn low |
| Realty | Pre-sales/bookings, launches vs sales, realization/sq ft, unsold inventory, collections, debt | Pre-sales compounding, collections strong |
| Hotels | Occupancy, ARR, RevPAR, room pipeline, F&B share, EBITDA margin | RevPAR rising, ARR up with occupancy |
| Agrochemicals / Fertilizers | Utilization, gas/energy efficiency, subsidy receivables, product mix; monsoon, new molecules | Subsidy dues low, value-added share rising |
| Media & Entertainment | Sub vs ad mix, viewership share, content cost; footfalls, ATP, SPH (exhibition) | Sub share up, ATP+SPH+footfalls up |
| Gems & Jewellery | SSSG, studded vs gold mix, gold-on-lease, store count | Real SSSG positive, studded share rising |
| Sugar & Paper | Cane crushed, recovery, realization vs cane cost, ethanol; utilization, packaging share | Recovery high, ethanol share rising, packaging share up |

## The Glossary

**APE** — Annualised Premium Equivalent; the standard new-business top-line for life insurers.

**ARPU** — Average Revenue Per User (telecom); monthly revenue per subscriber.

**ARPOB** — Average Revenue Per Occupied Bed (hospitals).

**ARR** — Average Room Rate (hotels); revenue per occupied room-night.

**ALOS** — Average Length of Stay (hospitals).

**ANDA / DMF** — Abbreviated New Drug Application / Drug Master File; the US FDA filings a generic-drug maker relies on.

**ASK** — Available Seat Kilometres (aviation); total seat capacity deployed.

**ATP** — Average Ticket Price (multiplexes).

**AT&C losses** — Aggregate Technical & Commercial losses (power distribution); theft + technical + billing losses.

**Book-to-bill** — the ratio of new orders to revenue in a period; >1 means the backlog is growing.

**BOT / HAM / EPC** — infrastructure contract models. Build-Operate-Transfer: the developer earns tolls. Hybrid Annuity Model: the government funds roughly 40% during construction and repays the rest as annuities. Engineering-Procurement-Construction: build and get paid, asset-light.

**CASA** — Current Account + Savings Account deposits; a bank's cheapest funding source.

**CASK / RASK** — Cost / Revenue per Available Seat Kilometre (aviation); the unit economics of an airline.

**Churn** — the rate at which subscribers leave (telecom).

**Clinker factor** — the proportion of clinker in cement; lower = less fuel-intensive.

**Collection efficiency** — the share of billed dues actually collected (NBFCs, developers, discoms).

**Combined ratio** — `(claims + expenses) ÷ premium earned` (general insurance); <100% = profitable underwriting.

**Constant-currency growth** — revenue growth excluding currency swings (IT services).

**Content per vehicle** — the value of components supplied per vehicle (auto ancillaries).

**CRAR / CAR** — Capital to Risk-weighted Assets Ratio; a bank/NBFC's regulatory capital buffer.

**Credit cost** — provisions as a share of loans; the price of bad lending.

**CUF** — Capacity Utilization Factor (renewables); equivalent of PLF.

**EBITDA/tonne** — operating profit per tonne (cement, steel, metals).

**Embedded Value (EV)** — present value of future profits + net worth (life insurers).

**FCF** — Free Cash Flow; `operating cash flow − capex`.

**Footfalls** — the number of visitors/admissions (multiplexes).

**FRP / SAP** — Fair & Remunerative Price (central) and State-Advised Price (state); the government-set price sugar mills pay for cane.

**GRM** — Gross Refining Margin (refiners); the value added per barrel of crude.

**GNPA / NNPA** — Gross / Net Non-Performing Assets; bad loans before / after provisions.

**GWP** — Gross Written Premium; total premium a general insurer writes in a period.

**LME** — London Metal Exchange; the global reference price for base metals.

**LTV** — Loan-to-Value (housing finance); loan size relative to property value.

**MICE** — Meetings, Incentives, Conferences and Events; group business for hotels.

**Load factor** — `RPK ÷ ASK` (aviation); how full the planes are. Also used as **PLF** (Passenger Load Factor).

**NIM** — Net Interest Margin; the spread between lending yield and funding cost (banks/NBFCs).

**Occupancy** — the share of capacity sold (hotels, hospitals).

**Order book** — the backlog of orders yet to be executed (capital goods, EPC).

**PCR** — Provision Coverage Ratio; provisions held as a share of gross NPAs.

**Persistency** — the share of policies still paying premium after a period (life insurance).

**PLF** — Plant Load Factor (power generation); actual vs maximum possible generation.

**Pre-sales / bookings** — the value of units sold (real estate); the developer's true top line.

**Recovery rate** — sugar extracted per tonne of cane crushed.

**RevPAR** — Revenue Per Available Room (hotels); `occupancy × ARR`.

**RPK** — Revenue Passenger Kilometres (aviation); the demand side.

**SIP** — Systematic Investment Plan; recurring mutual-fund inflows (AMCs).

**SPH** — Spend Per Head on food & beverage (multiplexes).

**SSSG** — Same-Store Sales Growth (retail); growth from existing stores only.

**Tenancy ratio** — the number of operators (tenants) per tower (tower companies).

**TCV** — Total Contract Value; the value of new contracts signed (IT services).

**Utilization rate** — the share of billable staff deployed on client work (IT services).

**VNB / VNB margin** — Value of New Business and its margin on APE (life insurers).

**Yield** — revenue per passenger-kilometre (aviation), per user/asset in other contexts.

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